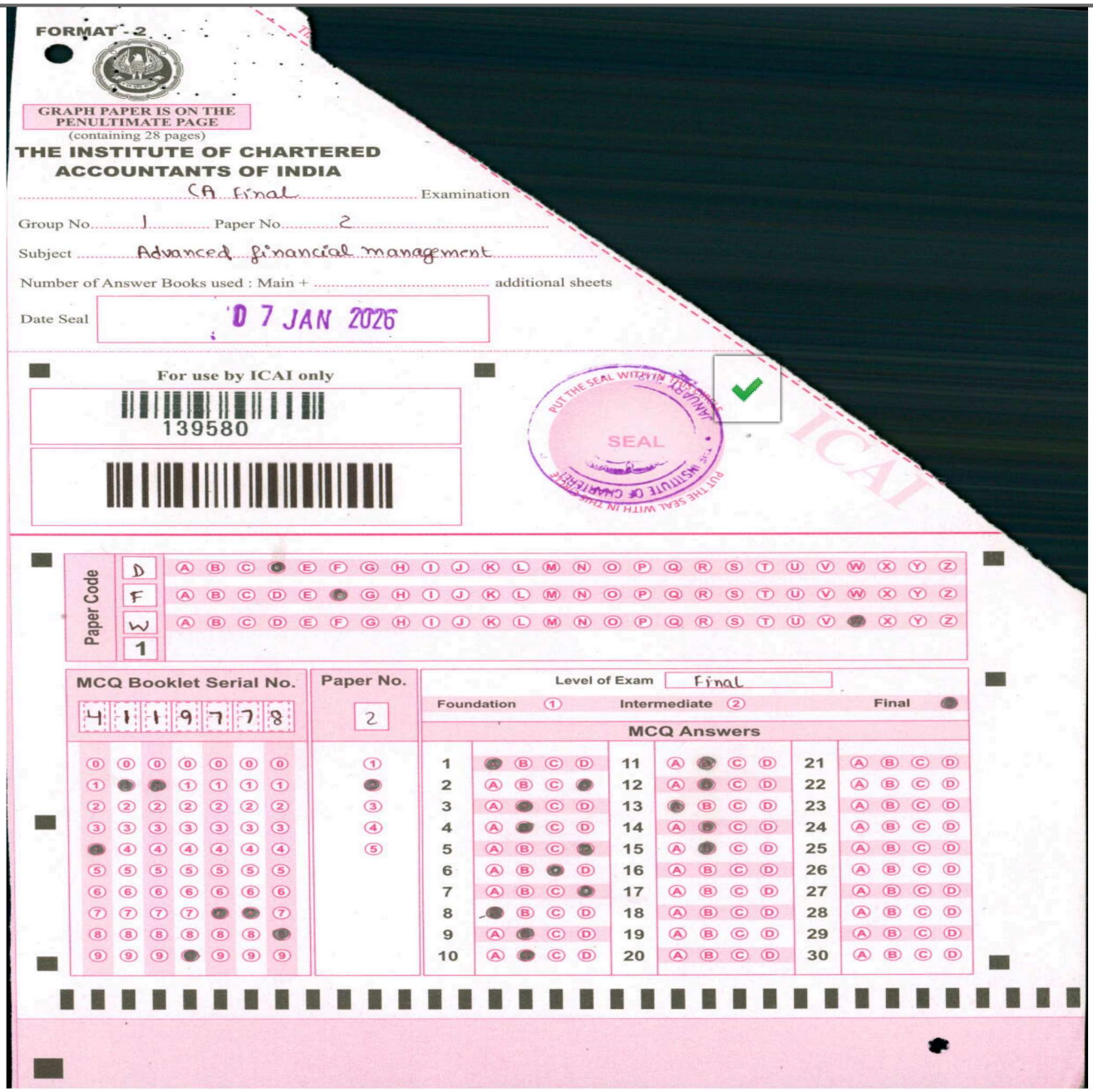
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Code:	**FN2AF139580**	**Total Marks:**	**70**
Subject :	**02 Advanced Financial Management**	**Marks Obtained :**	**44**



FORMAT - 2

GRAPH PAPER IS ON THE PENULTIMATE PAGE
(containing 28 pages)

THE INSTITUTE OF CHARTERED ACCOUNTANTS OF INDIA

CA Final Examination

Group No. 1 Paper No. 2

Subject Advanced financial management

Number of Answer Books used : Main + ... additional sheets

Date Seal 07 JAN 2026

For use by ICAI only

139580

SEAL

Paper Code: D F W 1

MCQ Booklet Serial No. 4 1 1 9 7 7 8

Paper No. 2

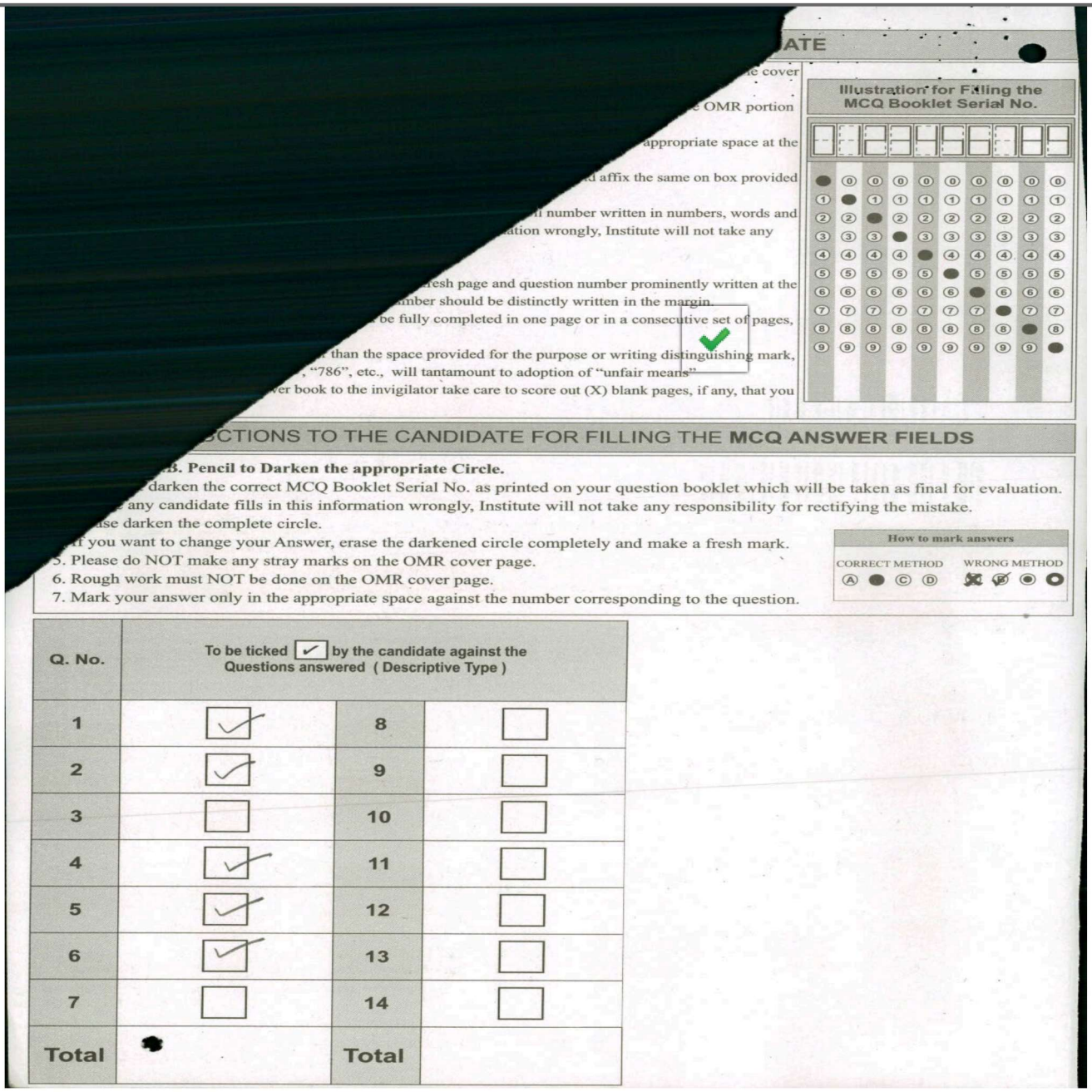
Level of Exam: Final (Foundation ① Intermediate ② Final ●)

MCQ Answers

1		B	C	D	11	A		C	D	21	A	B	C	D
2	A	B	C		12	A		C	D	22	A	B	C	D
3	A		C	D	13		B	C	D	23	A	B	C	D
4	A		C	D	14	A		C	D	24	A	B	C	D
5	A	B	C		15	A		C	D	25	A	B	C	D
6	A	B		D	16	A	B	C	D	26	A	B	C	D
7	A	B	C		17	A	B	C	D	27	A	B	C	D
8		B	C	D	18	A	B	C	D	28	A	B	C	D
9	A		C	D	19	A	B	C	D	29	A	B	C	D
10	A		C	D	20	A	B	C	D	30	A	B	C	D

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Illustration for Filling the MCQ Booklet Serial No.

CTIONS TO THE CANDIDATE FOR FILLING THE **MCQ ANSWER FIELDS**

. Pencil to Darken the appropriate Circle.

darken the correct MCQ Booklet Serial No. as printed on your question booklet which will be taken as final for evaluation.

any candidate fills in this information wrongly, Institute will not take any responsibility for rectifying the mistake.

se darken the complete circle.

f you want to change your Answer, erase the darkened circle completely and make a fresh mark.

5. Please do NOT make any stray marks on the OMR cover page.

6. Rough work must NOT be done on the OMR cover page.

7. Mark your answer only in the appropriate space against the number corresponding to the question.

How to mark answers

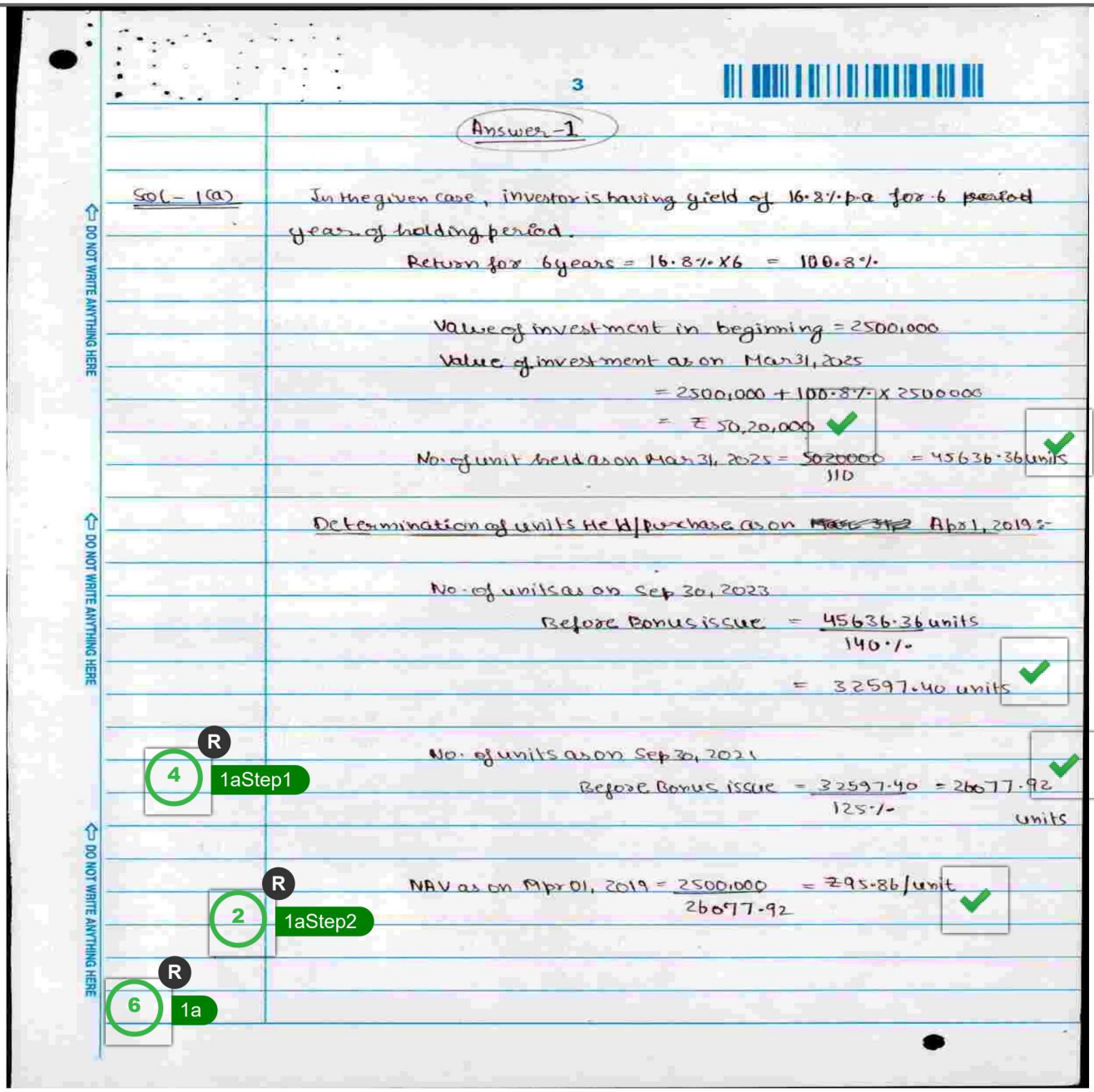
CORRECT METHOD WRONG METHOD

Q. No.	To be ticked ✓ by the candidate against the Questions answered (Descriptive Type)		
1	✓	8	
2	✓	9	
3		10	
4	✓	11	
5	✓	12	
6	✓	13	
7		14	
Total		Total	

Page 02

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3

Answer-1

Sol.- 1(a) In the given case, investor is having yield of 16.8% p.a for 6 ~~period~~ years of holding period.

Return for 6 years = 16.8% × 6 = 100.8%

Value of investment in beginning = 2500,000

Value of investment as on Mar 31, 2025

= 2500,000 + 100.8% × 2500000

= ₹ 50,20,000 ✓

No. of unit held as on Mar 31, 2025 = $\frac{5020000}{110}$ = 45636.36 units ✓

Determination of units Held/Purchase as on ~~Mar 31~~ Apr 1, 2019 :-

No. of units as on Sep 30, 2023

Before Bonus issue = $\frac{45636.36 \text{ units}}{140\%}$

= 32597.40 units ✓

No. of units as on Sep 30, 2021

Before Bonus issue = $\frac{32597.40}{125\%}$ = 26077.92 units ✓

NAV as on Apr 01, 2019 = $\frac{2500,000}{26077.92}$ = ₹95.86/unit ✓

R 4 1aStep1

R 2 1aStep2

R 6 1a

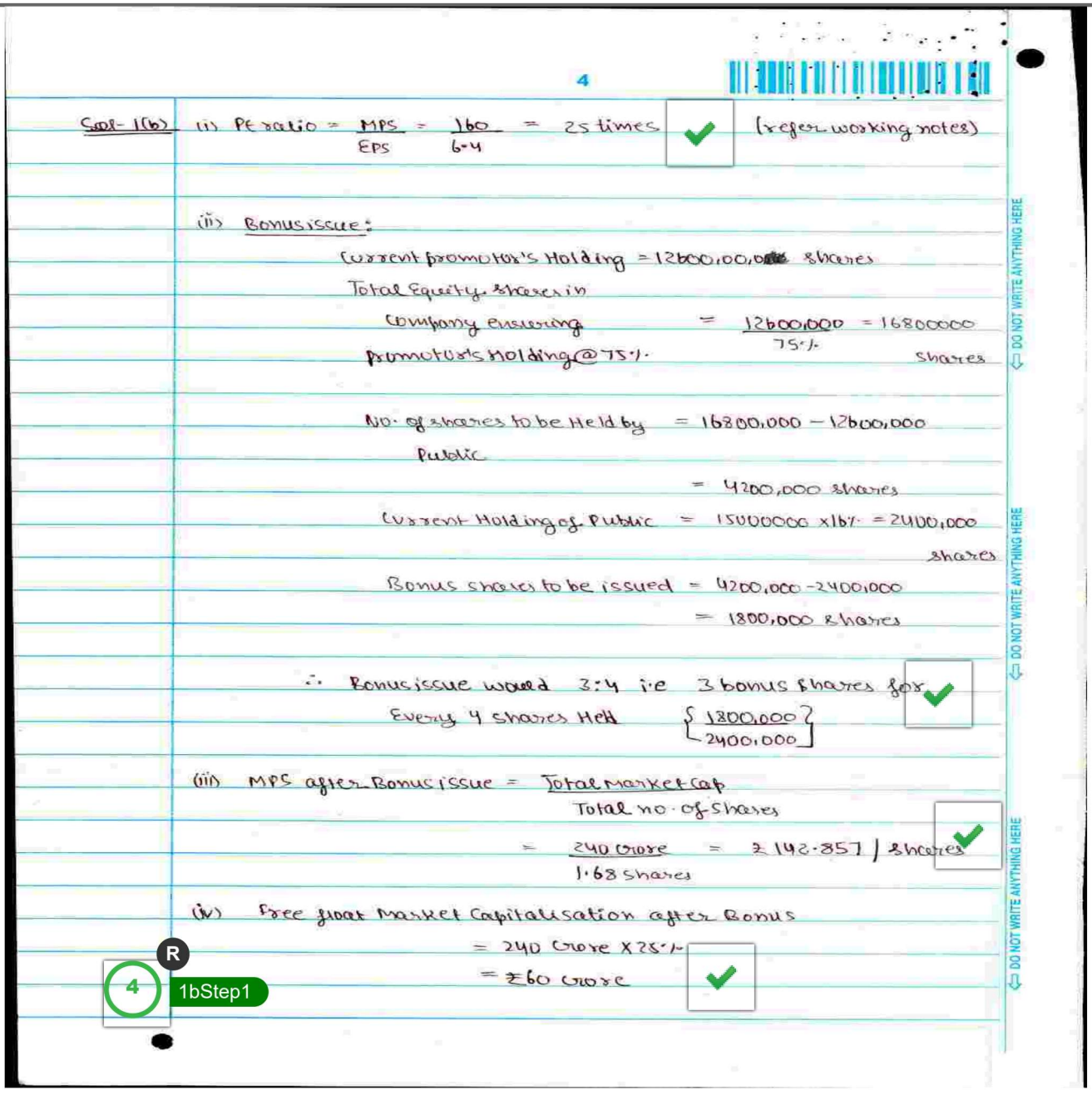
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4

Sub- 1(b) (i) PE ratio = MPS / EPS = 160 / 6·4 = 25 times ✓ (refer working notes)

(ii) Bonus issue:

Current promotor's Holding = 12600,00,000 shares

Total Equity shares in Company ensuring promotor's holding @ 75% = 12600,000 / 75% = 16800000 shares

No. of shares to be Held by Public = 16800,000 − 12600,000 = 4200,000 shares

Current Holding of Public = 15000000 x 16% = 2400,000 shares

Bonus shares to be issued = 4200,000 − 2400,000 = 1800,000 shares

∴ Bonus issue would 3:4 i.e 3 bonus shares for Every 4 shares Held {1800,000 / 2400,000} ✓

(iii) MPS after Bonus issue = Total Market Cap / Total no. of shares = 240 Crore / 1·68 shares = ₹142·857 / share ✓

(iv) Free float Market Capitalisation after Bonus = 240 Crore X 25% = ₹60 Crore ✓

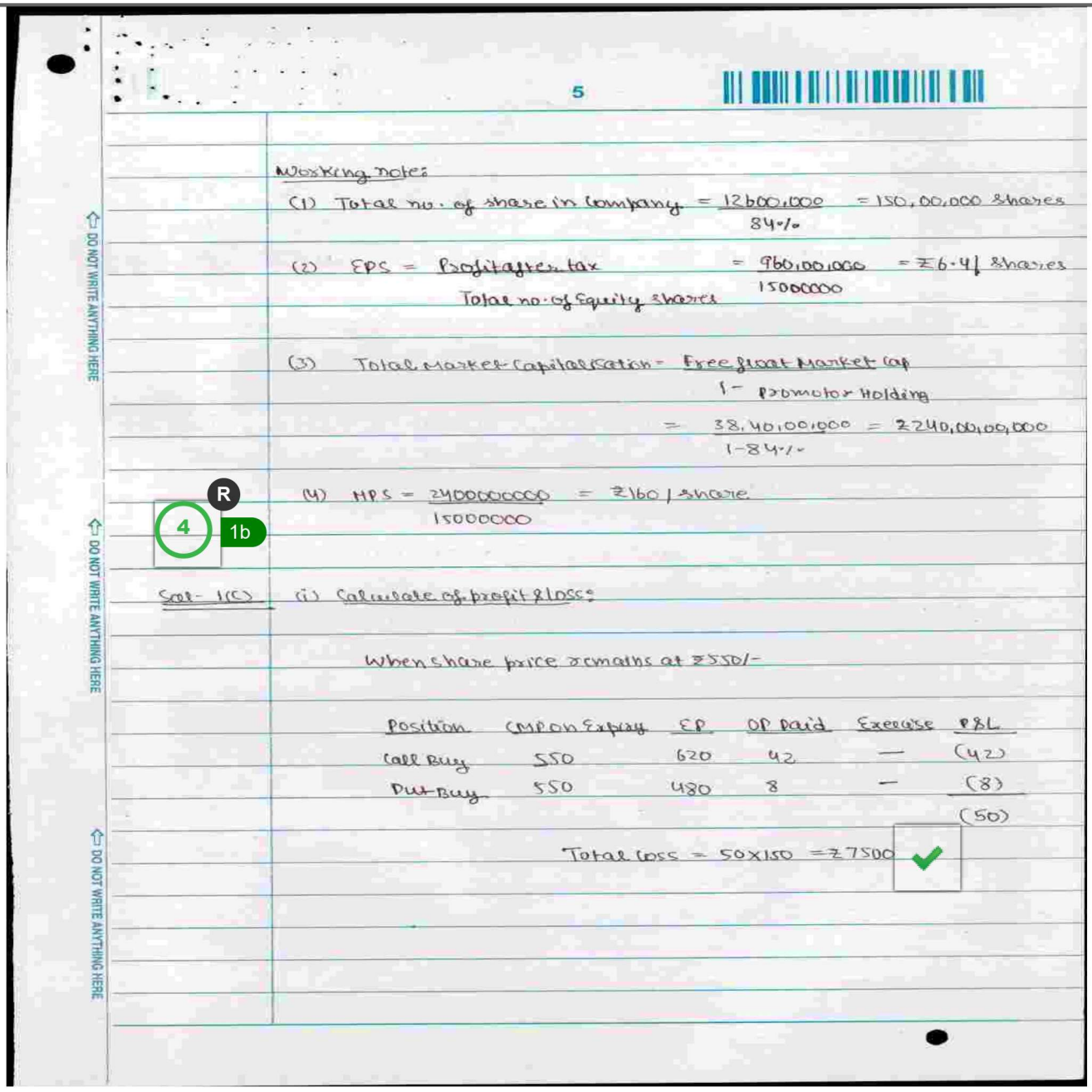
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R 4 1bStep1

Page 04

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Code: FN2AF139580 **Total Marks:** 70
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5

Working note:

(1) Total no. of share in company = $\frac{12600,000}{84\%}$ = 150,00,000 shares

(2) EPS = $\frac{\text{Profit after tax}}{\text{Total no. of equity shares}}$ = $\frac{960,00,000}{15000000}$ = ₹6.4/ shares

(3) Total Market Capitalisation = $\frac{\text{Free float Market cap}}{1 - \text{Promotor Holding}}$

= $\frac{38,40,00,000}{1-84\%}$ = ₹240,00,00,000

(4) MPS = $\frac{24000000000}{15000000}$ = ₹160 / share

R 4 1b

Sol- 1(c) (i) Calculate of profit & loss:

When share price remains at ₹550/-

Position	CMP on Expiry	EP	OP paid	Exercise	P&L
Call Buy	550	620	42	—	(42)
Put Buy	550	480	8	—	(8)
					(50)

Total loss = 50x150 = ₹7500 ✓

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When share price declines to 380:

Position	CMP	EP	OP paid	Exercise	P&L
Call Buy	380	620	42	—	(42)
Put Buy	380	480	8	Yes	92
					50

Total profit = 50 × 150 = 7500 ₹ ✔

When share price appreciates to ₹620

Position	CMP	EP	OP Paid	Exercise	P&L
Call Buy	680	620	42	Yes	18
Put Buy	680	480	8	—	(8)
					10

Total profit = 10 × 150 = 1500 ₹ ✔

(ii) Determine of upper and lower breakeven points:

Lower Breakeven point = 430/- ✔

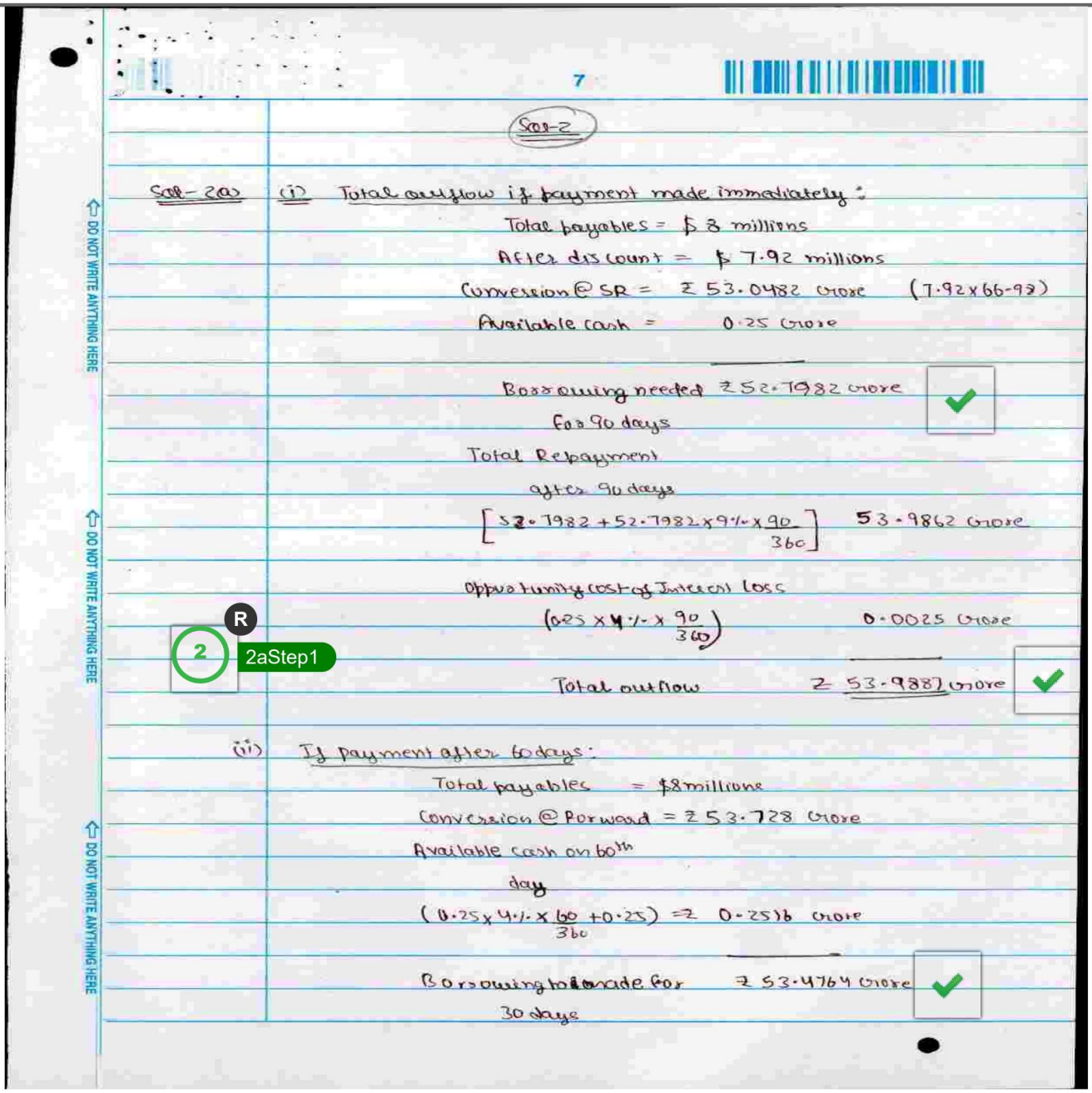
High Breakeven point = 670/- ✔

R 4 1cStep1
R 4 1c
R 14 1

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7

Sol-2

Sol-2a (i) Total outflow if payment made immediately:

Total payables = $ 8 millions

After discount = $ 7.92 millions

Conversion @ SR = ₹ 53.0482 crore (7.92 x 66.98)

Available cash = 0.25 crore

Borrowing needed ₹ 52.7982 crore

For 90 days

Total Repayment after 90 days

[52.7982 + 52.7982 x 9% x 90/360] 53.9862 crore

Opportunity cost of Interest loss

(0.25 x 4% x 90/360) 0.0025 crore

Total outflow ₹ 53.9887 crore

(ii) If payment after 60 days:

Total payables = $8 millions

Conversion @ Forward = ₹ 53.728 crore

Available cash on 60th day

(0.25 x 4% x 60/360 + 0.25) = ₹ 0.2516 crore

Borrowing to be made for 30 days ₹ 53.4764 crore

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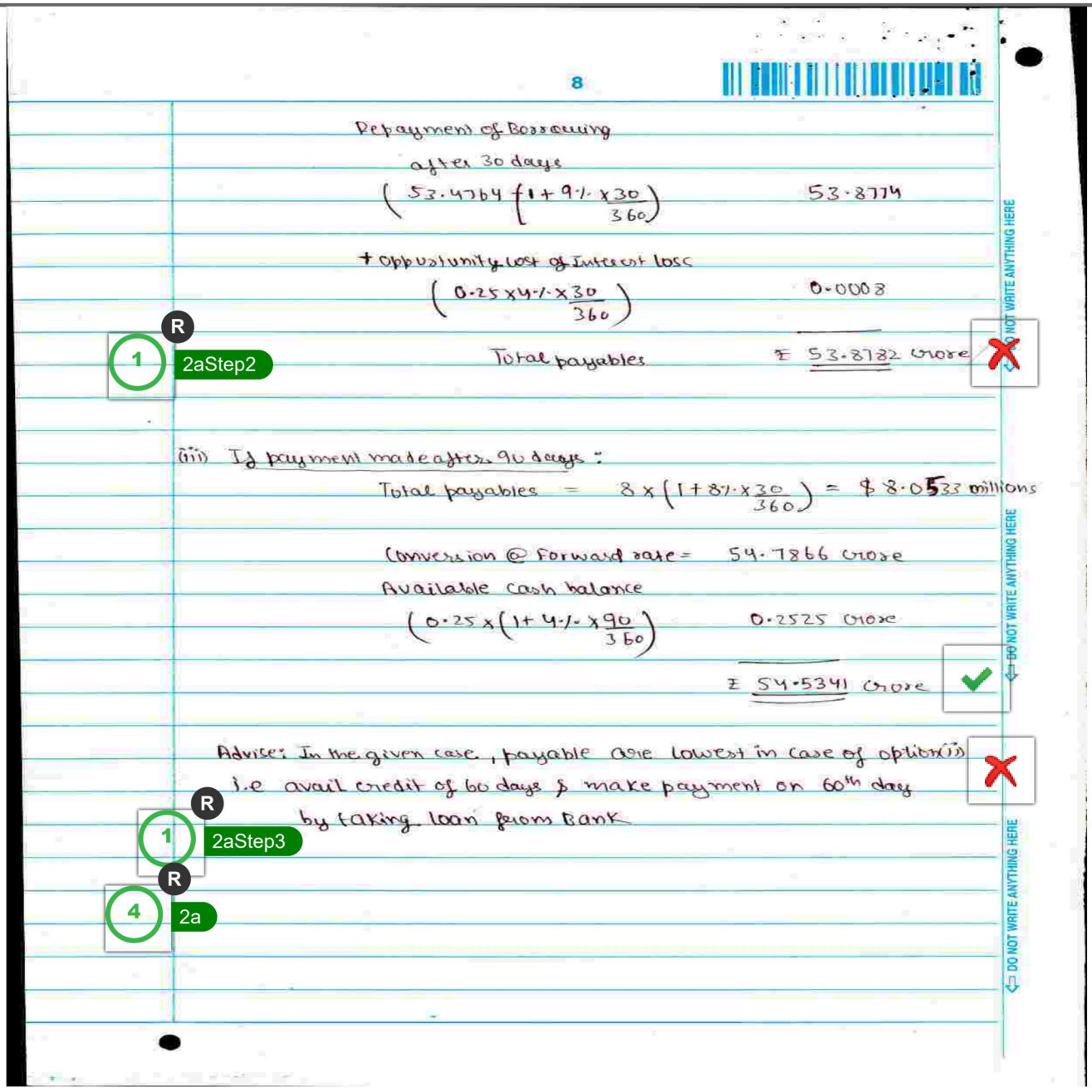
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R

2 2aStep1

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8

Repayment of Borrowing
after 30 days
$\left(53.4764\left(1+9\%\times\frac{30}{360}\right)\right)$ 53.8774

+ Opportunity cost of Interest loss
$\left(0.25\times4\%\times\frac{30}{360}\right)$ 0.0008

Total payables ₹ 53.8782 crore

(iii) If payment made after 90 days :
Total payables = $8\times\left(1+8\%\times\frac{30}{360}\right)$ = $ 8.0533 millions

Conversion @ Forward rate = 54.7866 crore
Available cash balance
$\left(0.25\times\left(1+4\%\times\frac{90}{360}\right)\right)$ 0.2525 crore

₹ 54.5341 crore

Advise: In the given case, payable are lowest in case of option(ii) i.e avail credit of 60 days & make payment on 60th day by taking loan from Bank

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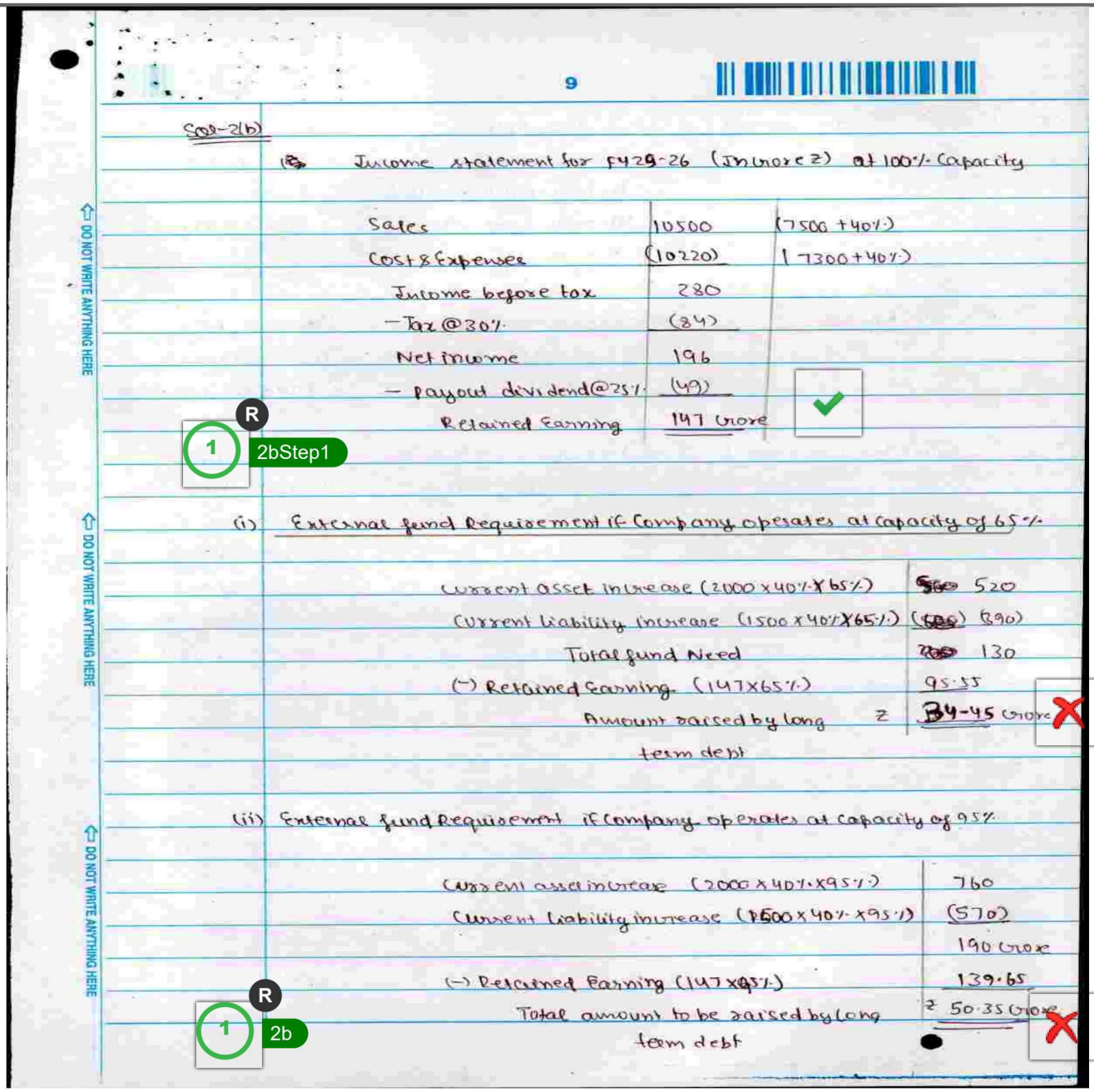
R 1 2aStep2

R 1 2aStep3

R 4 2a

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9

Ques-2(b)

(i) Income statement for FY29-26 (In crore ₹) at 100% Capacity

Sales	10500	(7500 + 40%)
Cost & Expenses	(10220)	(7300 + 40%)
Income before tax	280	
− Tax @ 30%	(84)	
Net income	196	
− Payout dividend @ 25%	(49)	
Retained Earning	147 Crore	

R 1 2bStep1

(i) External fund Requirement if Company operates at capacity of 65%

Current asset increase (2000 × 40% × 65%)	520
Current liability increase (1500 × 40% × 65%)	(390)
Total fund Need	130
(−) Retained Earning (147 × 65%)	95.55
Amount raised by long term debt	₹ 34.45 Crore

(ii) External fund Requirement if Company operates at capacity of 95%

Current asset increase (2000 × 40% × 95%)	760
Current Liability increase (1500 × 40% × 95%)	(570)
	190 Crore
(−) Retained Earning (147 × 95%)	139.65
Total amount to be raised by long term debt	₹ 50.35 Crore

R 1 2b

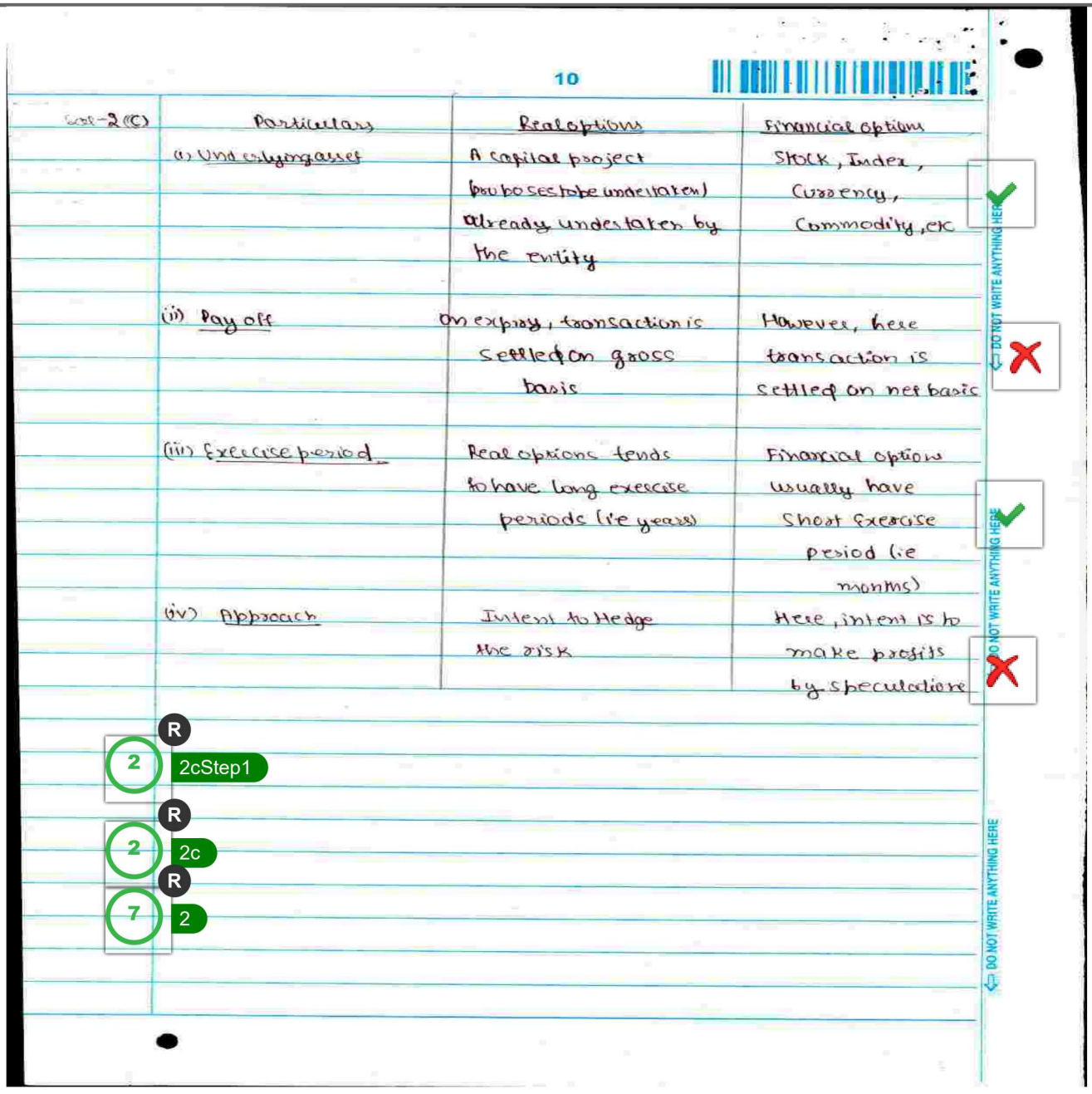
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10

Q.2 (c)

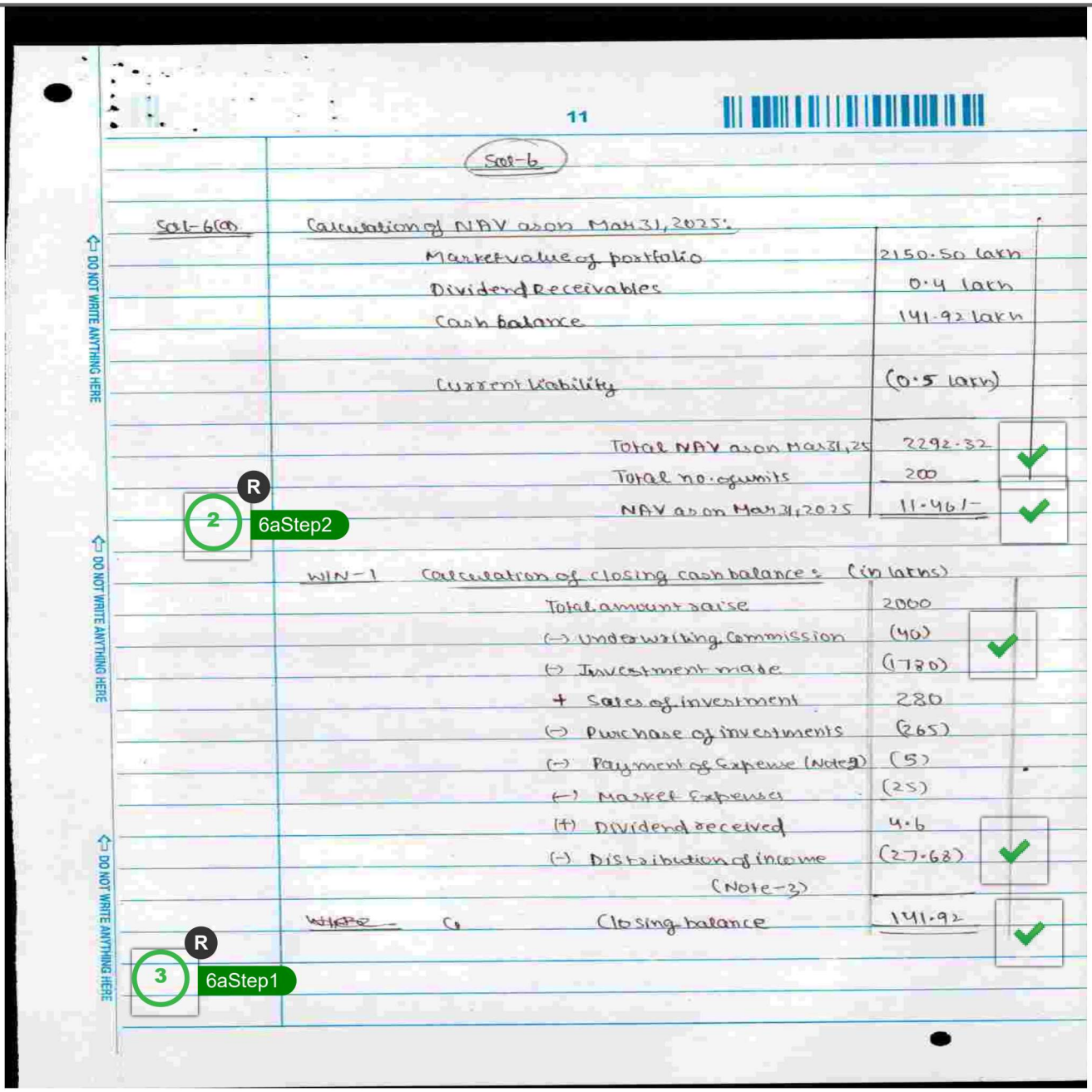
Particulars	Real options	Financial options
(i) Underlying asset	A capital project (proposes to be undertaken) already undertaken by the entity	Stock, Index, Currency, Commodity, etc
(ii) Pay off	On expiry, transaction is settled on gross basis	However, here transaction is settled on net basis
(iii) Exercise period	Real options tends to have long exercise periods (i.e years)	Financial option usually have short exercise period (i.e months)
(iv) Approach	Intent to Hedge the risk	Here, intent is to make profits by speculations

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R 2 2cStep1
R 2 2c
R 7 2

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11

Sol-6

Sol-6(a) Calculation of NAV as on March 31, 2025:

Market value of portfolio	2150.50 lakh
Dividend Receivables	0.4 lakh
Cash balance	141.92 lakh
Current liability	(0.5 lakh)
Total NAV as on March 31, 25	2292.32
Total no. of units	200
NAV as on March 31, 2025	11.461/-

R 2 6aStep2

WN-1 Calculation of closing cash balance: (in lakhs)

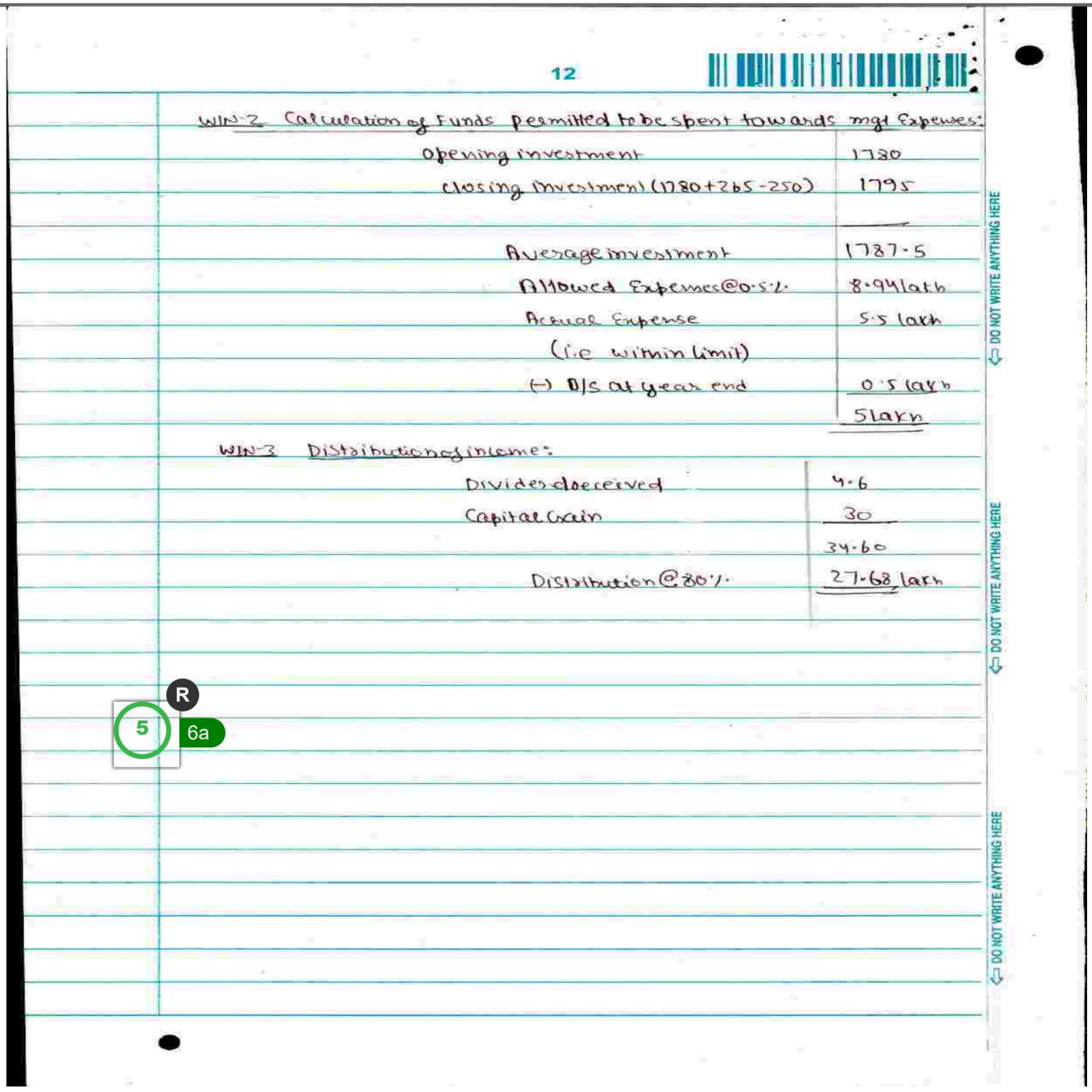
Total amount raise	2000
(-) Underwriting Commission	(40)
(-) Investment made	(1780)
+ Sales of investment	280
(-) Purchase of investments	(265)
(-) Payment of Expense (Note 2)	(5)
(-) Market Expenses	(25)
(+) Dividend received	4.6
(-) Distribution of income (Note-3)	(27.68)
Closing balance	141.92

R 3 6aStep1

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12

WIN-2 Calculation of Funds permitted to be spent towards mgt Expenses:

Opening investment	1780
closing investment (1780+265-250)	1795
Average investment	1787.5
Allowed Expenses @ 0.5%	8.94 lakh
Actual Expense (i.e within limit)	5.5 lakh
(+) D/S at year end	0.5 lakh
	5 lakh

WIN-3 Distribution of income:

Dividend received	4.6
Capital Gain	30
	34.60
Distribution @ 80%	27.68 lakh

R

5 6a

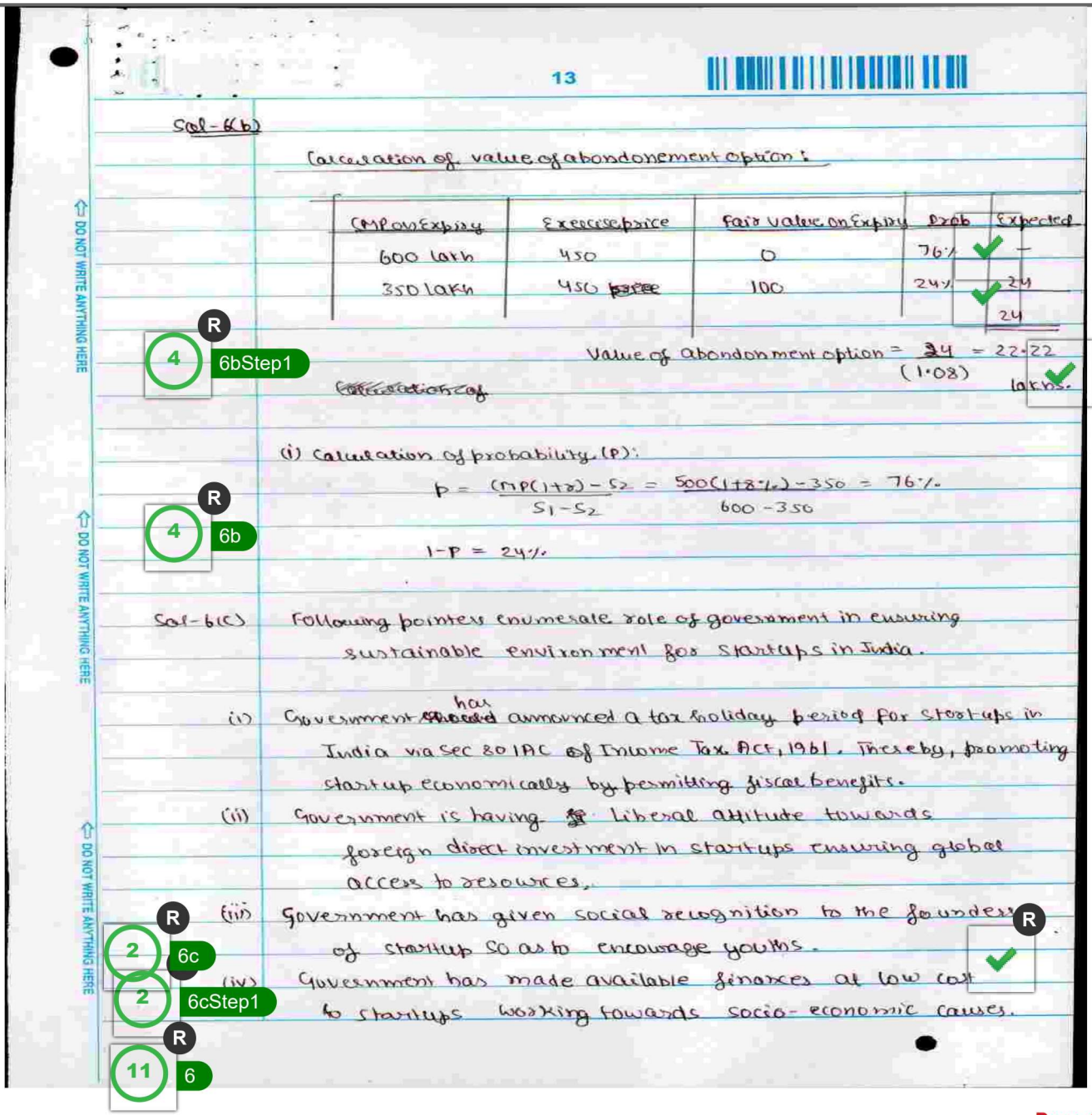
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Subject : 02 Advanced Financial Management **Marks Obtained :** 44



13

Sol-6(b)

Calculation of value of abandonement option:

Emp on Expiry	Exercise price	Fair value on Expiry	Prob	Expected
600 lakh	450	0	76%	–
350 lakh	450	100	24%	24
				24

Value of abandonment option = $\frac{24}{(1.08)}$ = 22.22 lakhs.

(i) Calculation of probability (P):

$$p = \frac{(MP(1+g) - S_2}{S_1 - S_2} = \frac{500(1+8\%) - 350}{600 - 350} = 76\%$$

$1 - P = 24\%$

Sol-6(c) Following points enumerate role of government in ensuring sustainable environment for startups in India.

(i) Government has announced a tax holiday period for startups in India via sec 80 IAC of Income Tax Act, 1961. Thereby, promoting startup economically by permitting fiscal benefits.

(ii) Government is having liberal attitude towards foreign direct investment in startups ensuring global access to resources.

(iii) Government has given social recognition to the founders of startup so as to encourage youths.

(iv) Government has made available finances at low cost to startups working towards socio-economic causes.

R 4 6bStep1

R 4 6b

R 2 6c

2 6cStep1

R 11 6

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Sol- 5(a)

(i) Treynor's Ratio

Sol-5(a)

Security	Treynor Ratio $\left(\frac{RS-RF}{Betas}\right)$	Rank
A	$\frac{5-7}{0.5} = (4)$	V
B	$\frac{25-7}{2.5} = 7.2$	III
C	$\frac{15-7}{1} = 8.00$	I
D	$\frac{10-7}{1.5} = 2.00$	IV
E	$\frac{20-7}{1.8} = 7.22$	II

R 2 5aStep1

(ii) Cut off point:

R 0 5aStep2

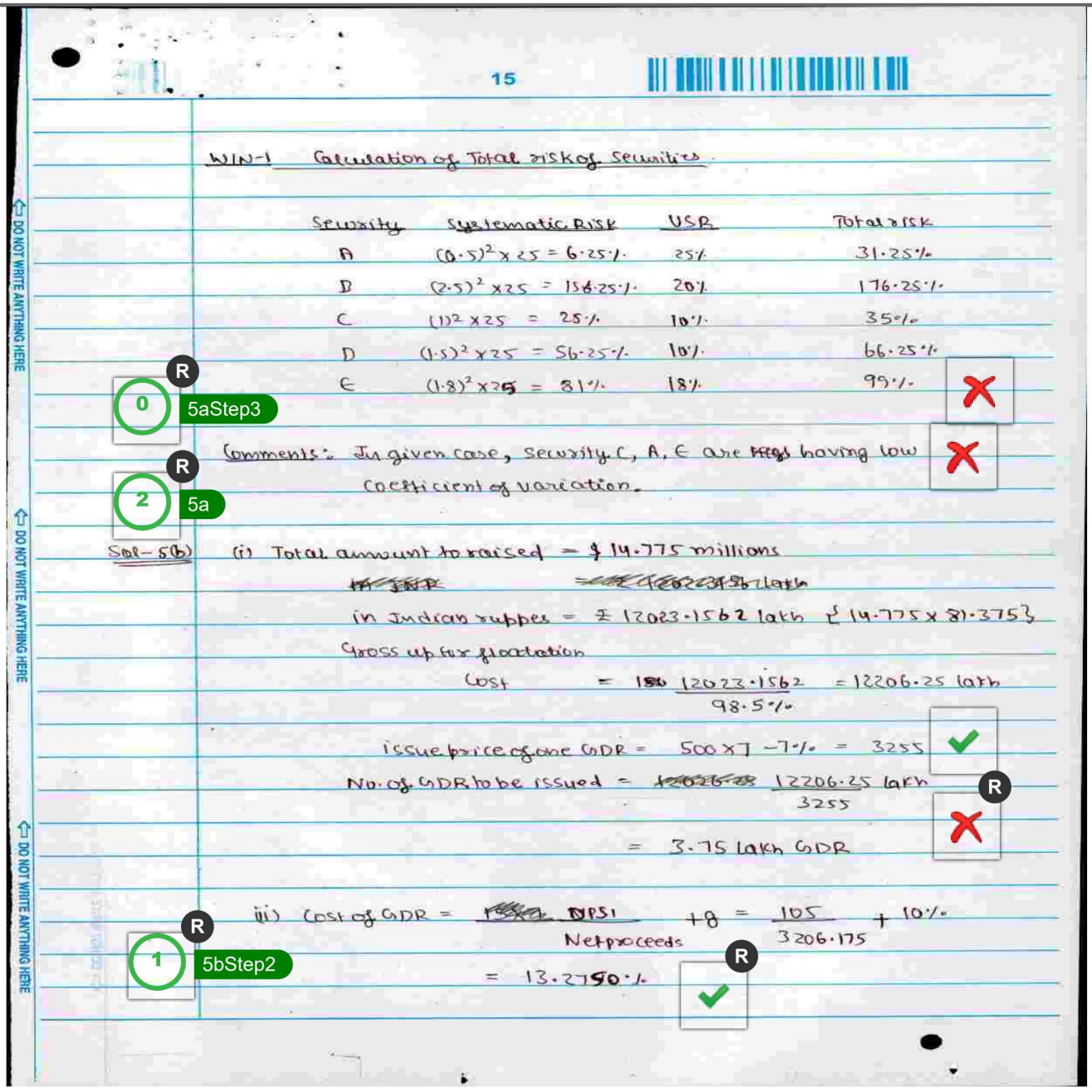
(iii) Selection of Securities:

Security	Return	Risk	CV
A	5%	31.25%	6.5
B	25%	176.25%	7.05
C	15%	35%	2.33
D	10%	66.25%	6.625
E	20%	99%	4.95

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15

WN-1 Calculation of Total risk of Securities

Security	Systematic Risk	USR	Total risk
A	$(0.5)^2 \times 25 = 6.25\%$	25%	31.25%
B	$(2.5)^2 \times 25 = 156.25\%$	20%	176.25%
C	$(1)^2 \times 25 = 25\%$	10%	35%
D	$(1.5)^2 \times 25 = 56.25\%$	10%	66.25%
E	$(1.8)^2 \times 25 = 81\%$	18%	99%

R 0 5aStep3

R 2 5a

Comments: In given case, security C, A, E are having low coefficient of variation.

Sol- 5(b) (i) Total amount to raised = $ 14.775 millions

in Indian rupees = ₹ 12023.1562 lakh {14.775 × 81.375}

Gross up for floatation

Cost = $\frac{12023.1562}{98.5\%}$ = 12206.25 lakh

Issue price of one GDR = 500 × 7 − 7% = 3255

No. of GDR to be issued = $\frac{12206.25 \text{ lakh}}{3255}$

= 3.75 lakh GDR

R

(ii) Cost of GDR = $\frac{DPS1}{\text{Net proceeds}} + g = \frac{105}{3206.175} + 10\%$

R 1 5bStep2

= 13.2750%

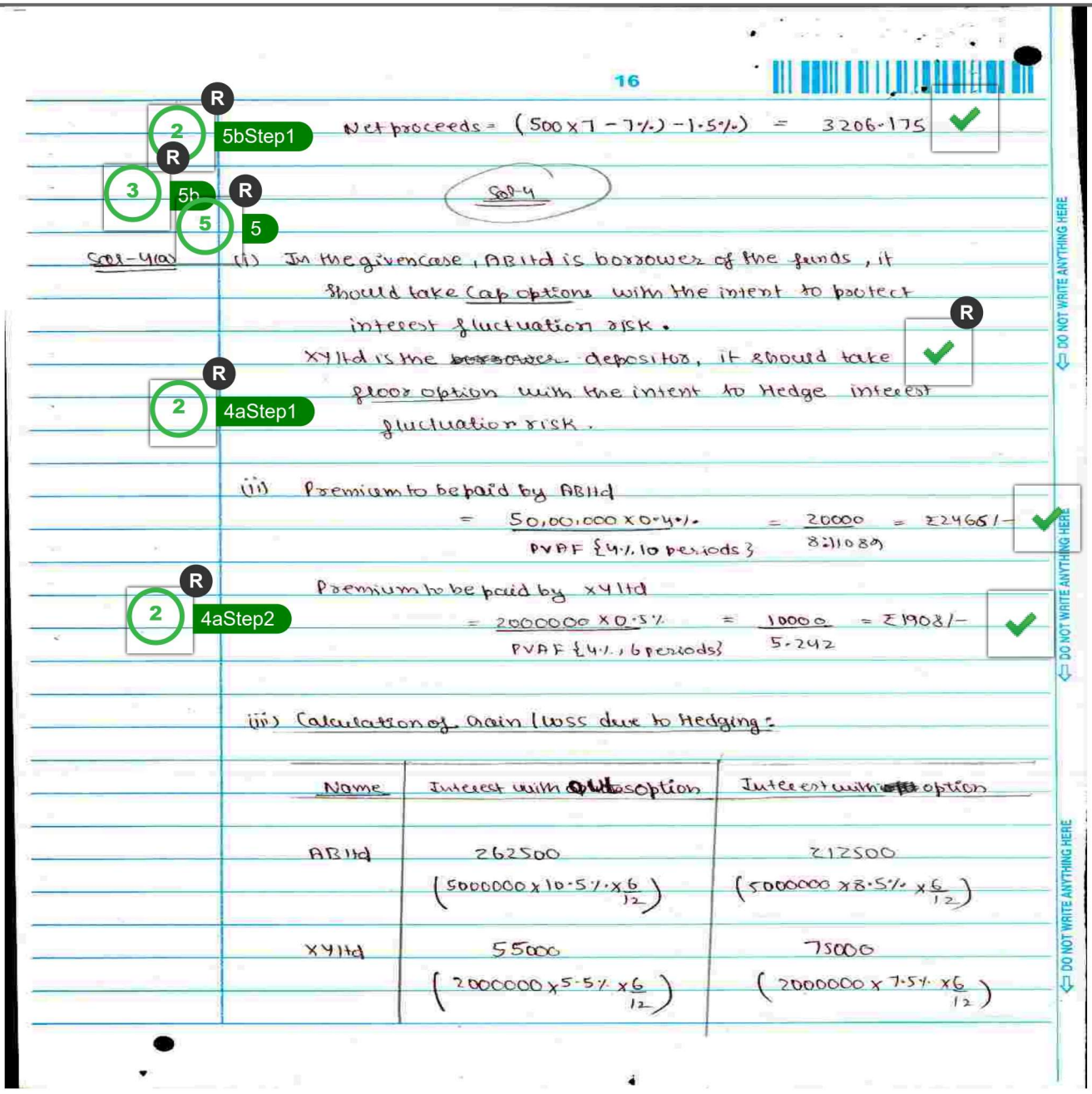
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16

R 2 5bStep1 Net proceeds = (500 x 7 − 7%) − 1.5%) = 3206.175 ✓

R 3 5b R 5 5

Sol-4

Sol-4(a) (i) In the given case, AB Ltd is borrower of the funds, it should take Cap options with the intent to protect interest fluctuation risk.

XY Ltd is the ~~borrower~~ depositor, it should take floor option with the intent to Hedge interest fluctuation risk. R ✓

R 2 4aStep1

(ii) Premium to be paid by AB Ltd

= 50,00,000 x 0.4% / PVAF {4%, 10 periods} = 20000 / 8.1109 = ₹2466/- ✓

R 2 4aStep2

Premium to be paid by XY Ltd

= 2000000 x 0.5% / PVAF {4%, 6 periods} = 10000 / 5.242 = ₹1908/- ✓

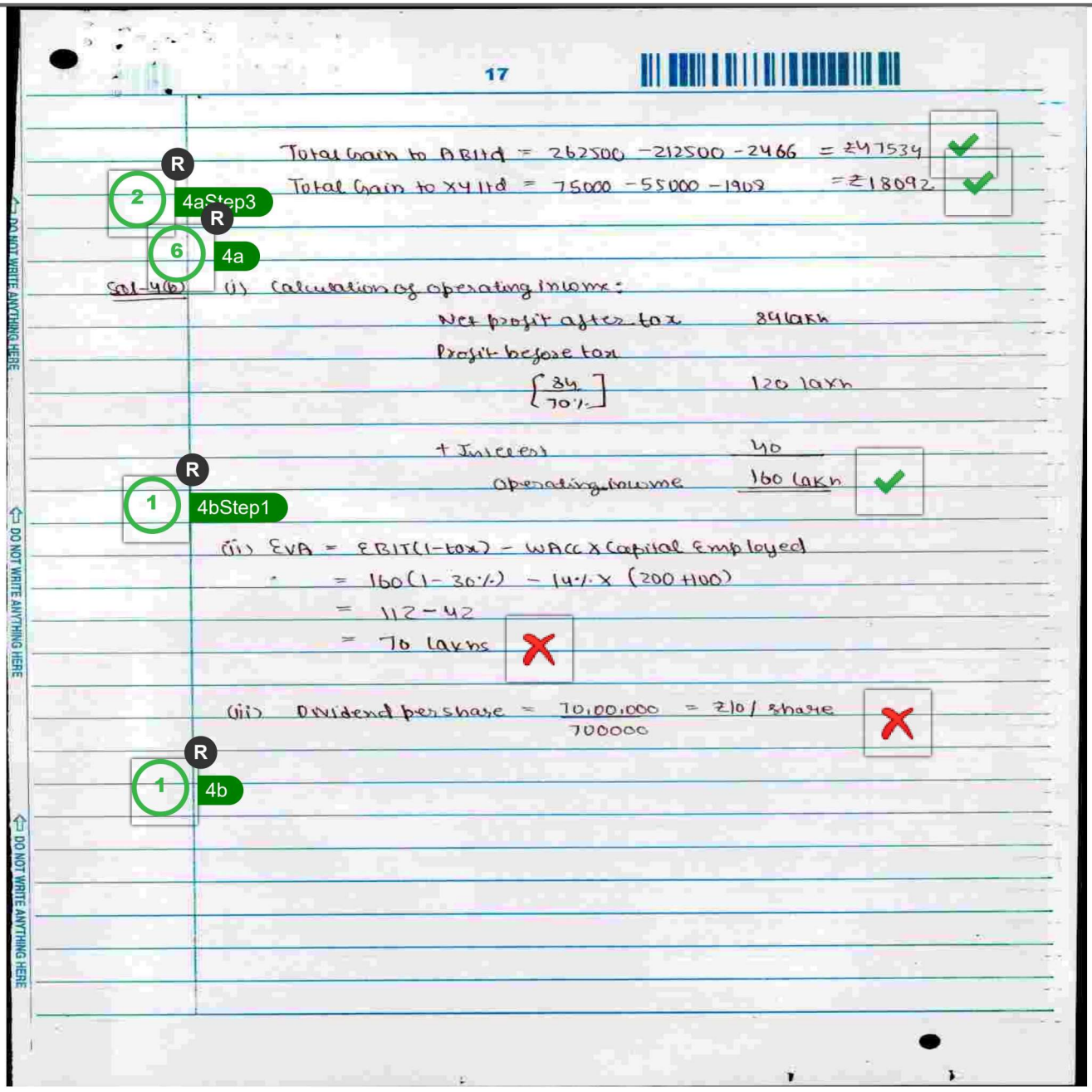
(iii) Calculation of Gain / Loss due to Hedging :

Name	Interest with ~~CAP~~ option	Interest with ~~floor~~ option
AB Ltd	262500 (5000000 x 10.5% x 6/12)	212500 (5000000 x 8.5% x 6/12)
XY Ltd	55000 (2000000 x 5.5% x 6/12)	75000 (2000000 x 7.5% x 6/12)

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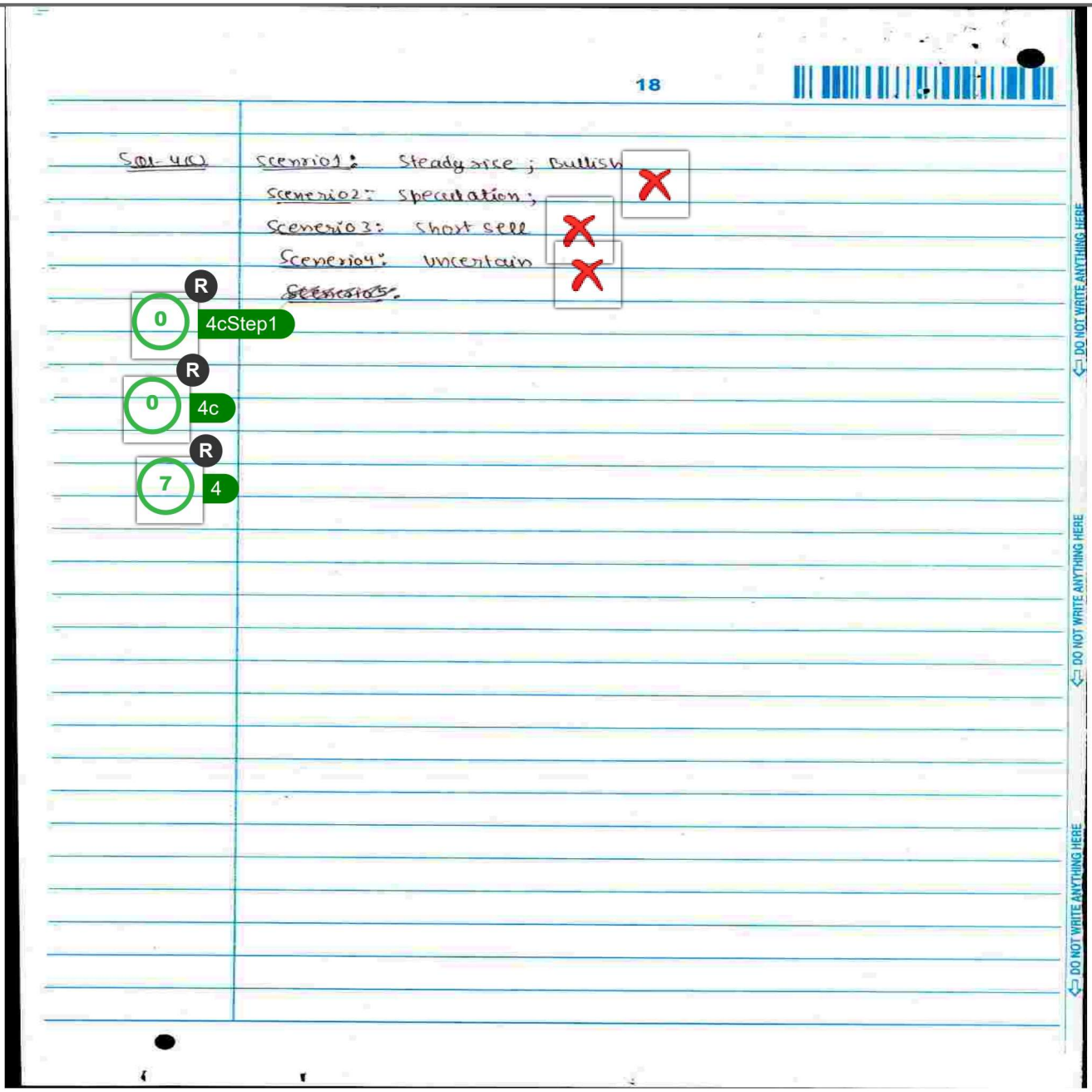
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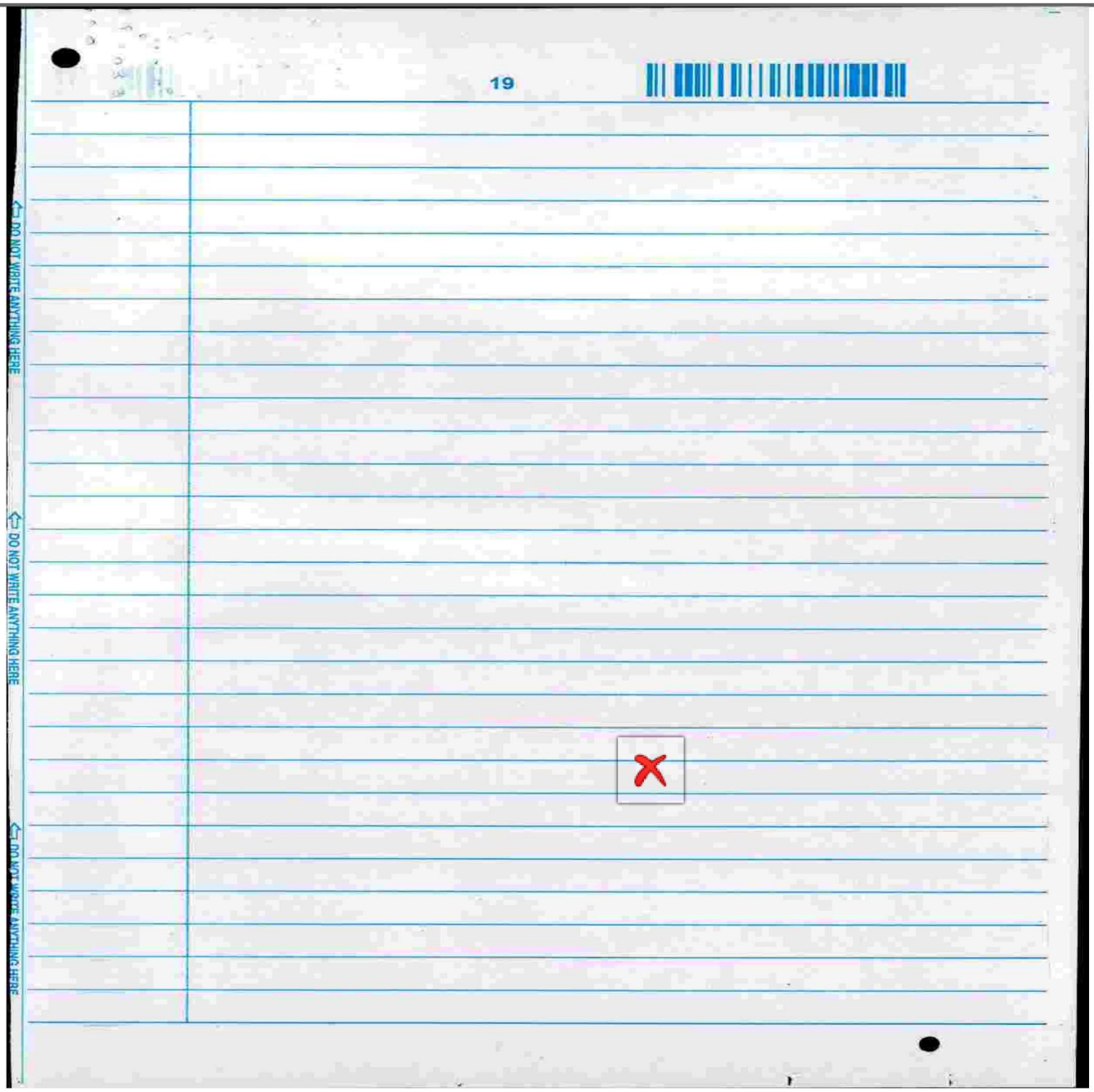
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Subject :	**02 Advanced Financial Management**	**Marks Obtained :**	**44**



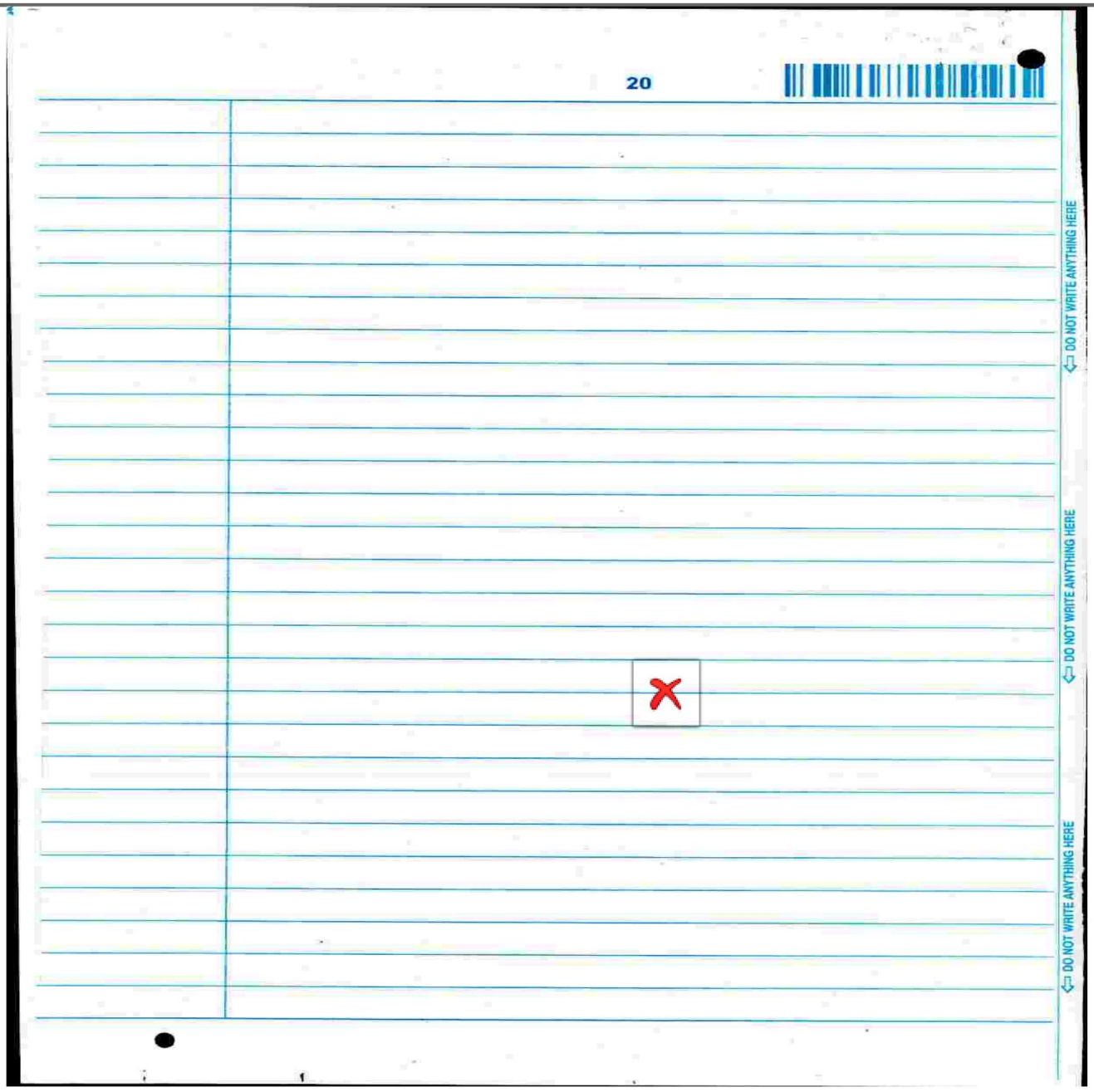
The Institute of Chartered Accountants of India

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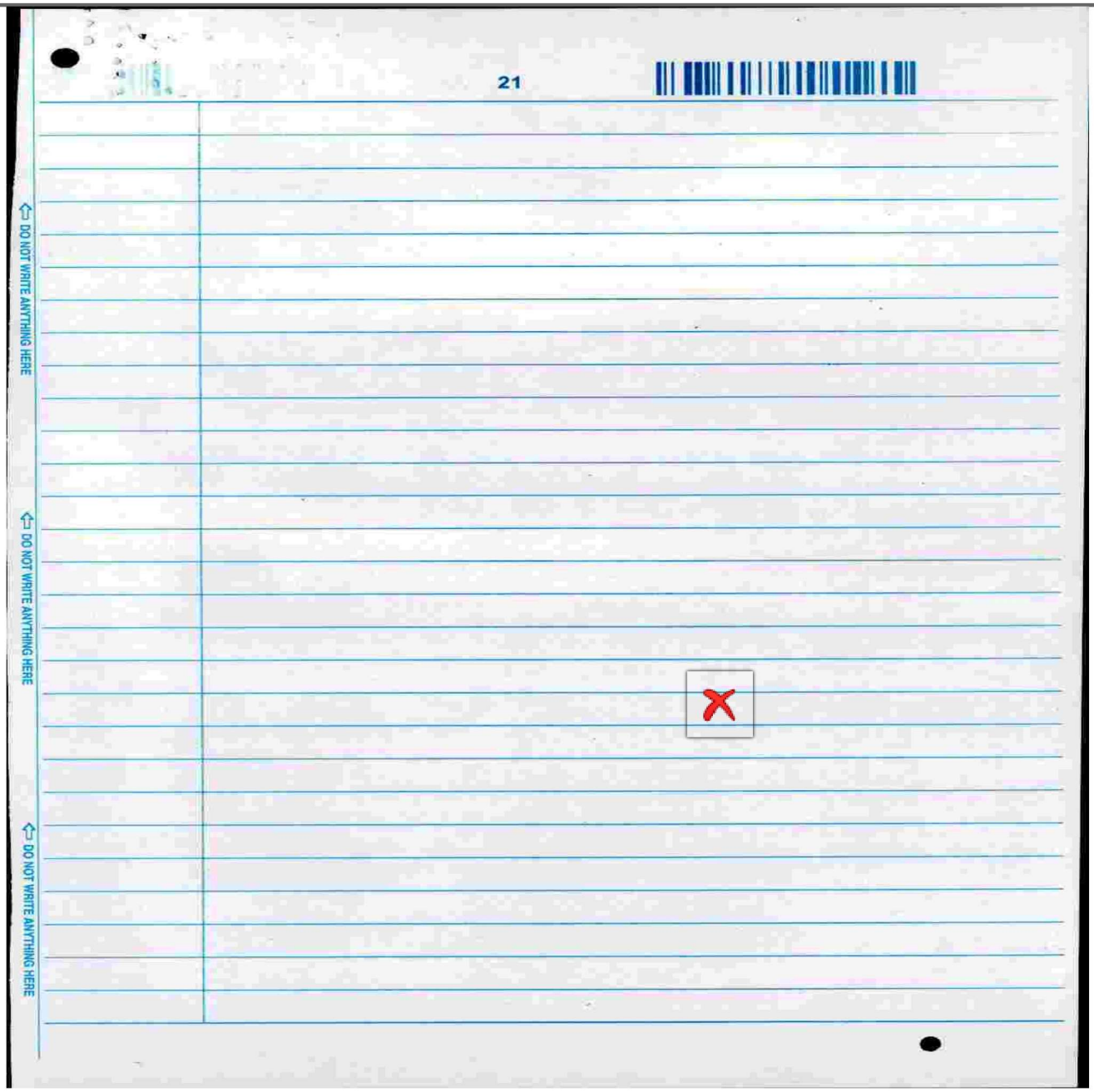
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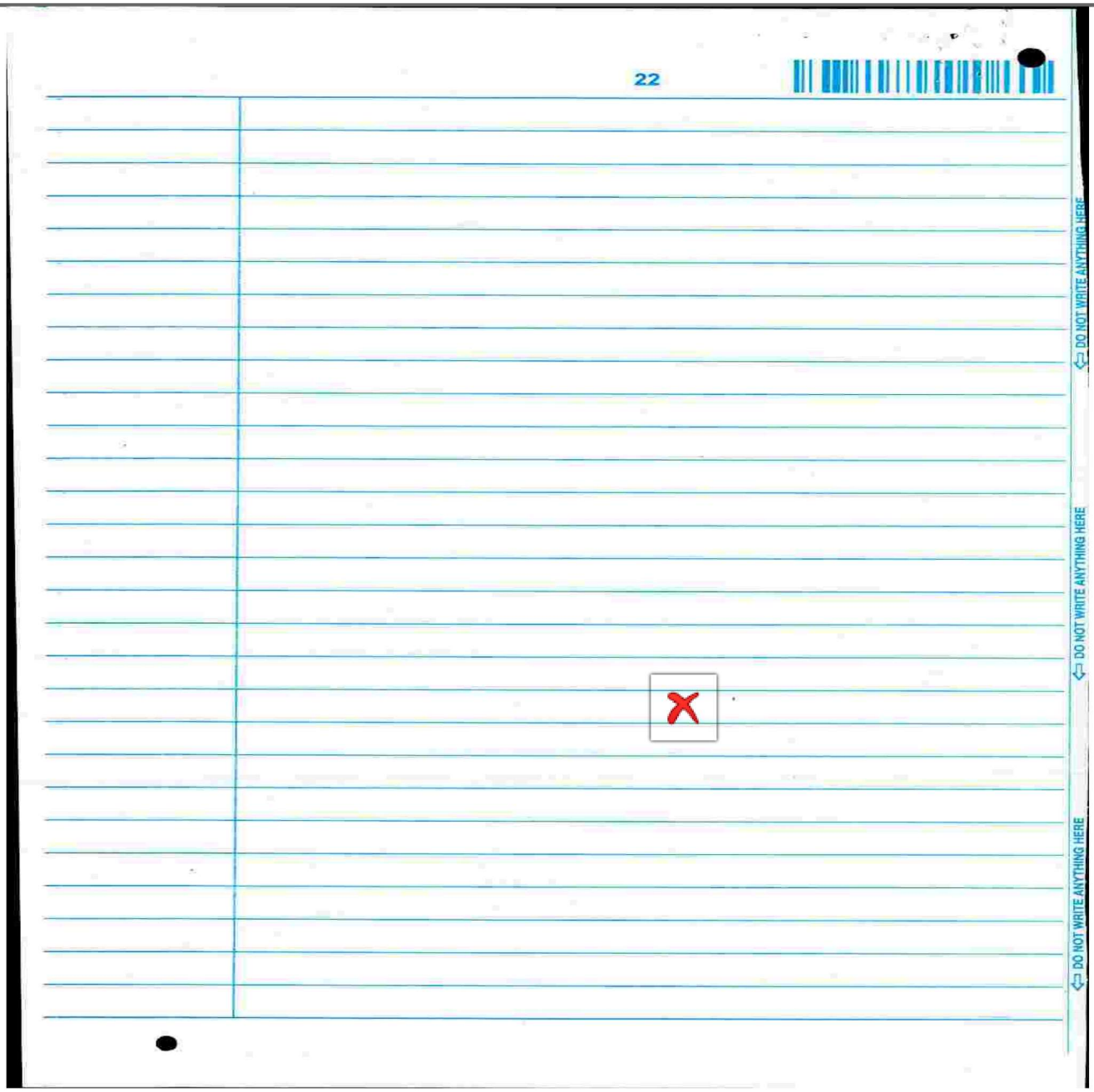
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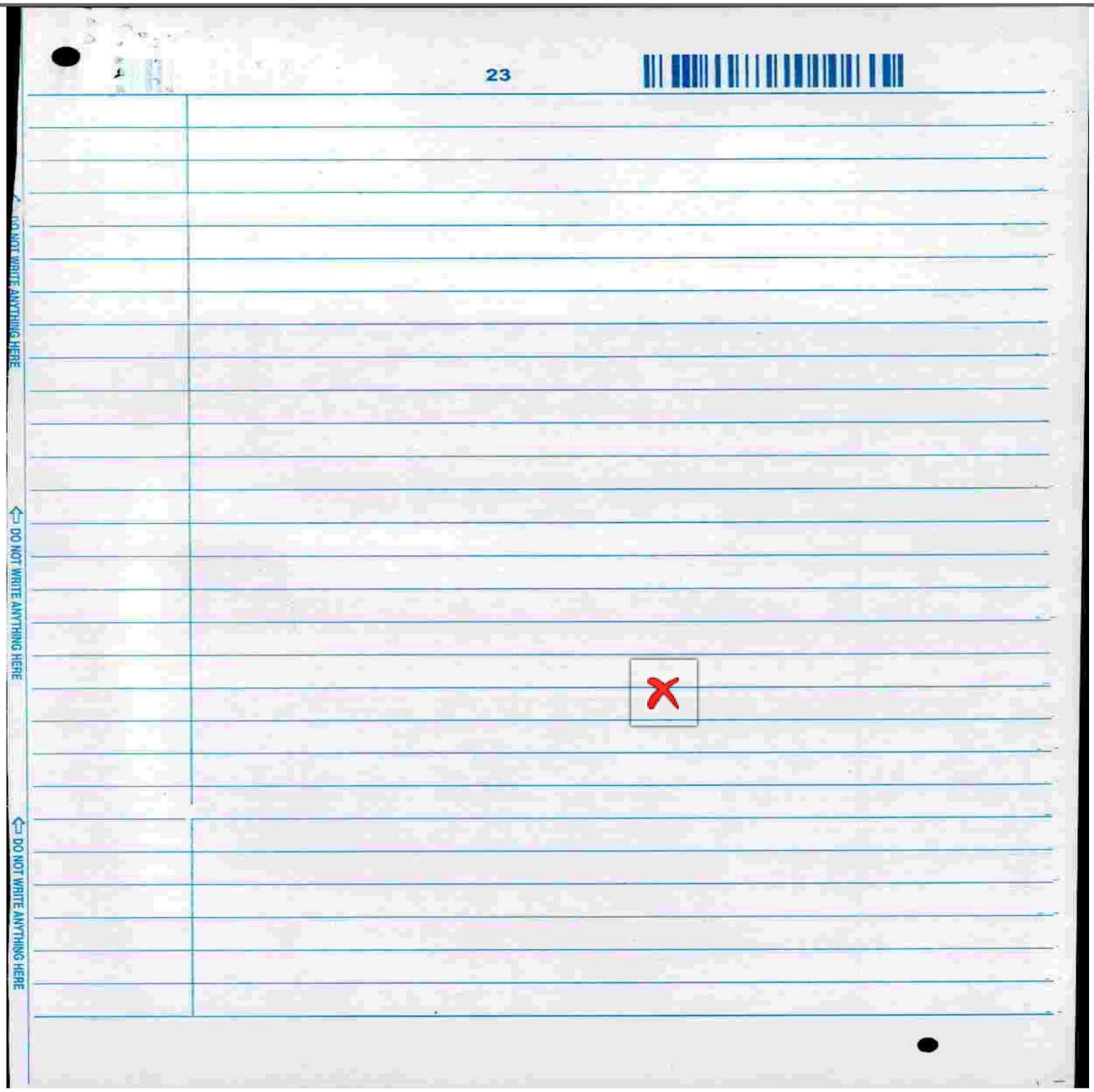
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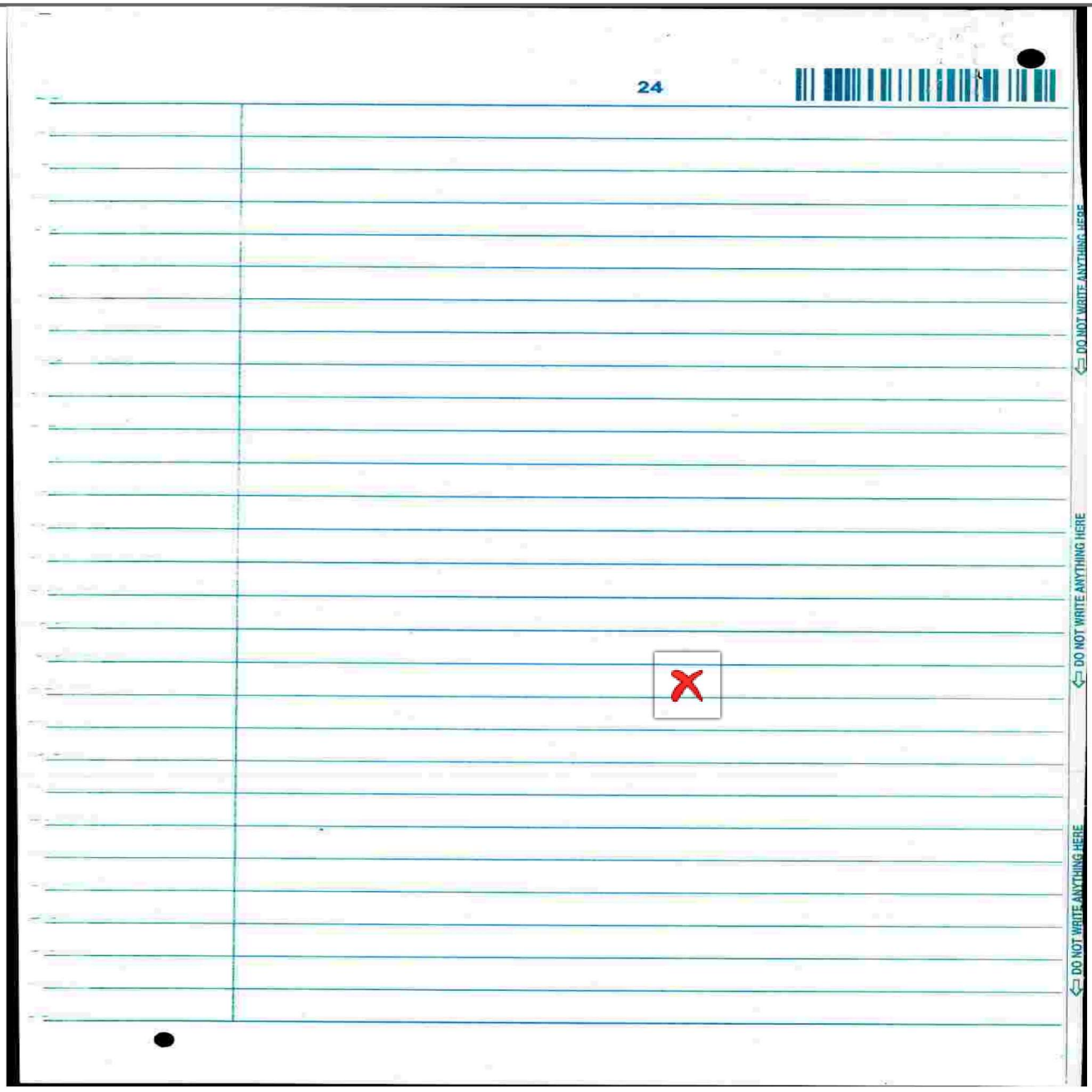
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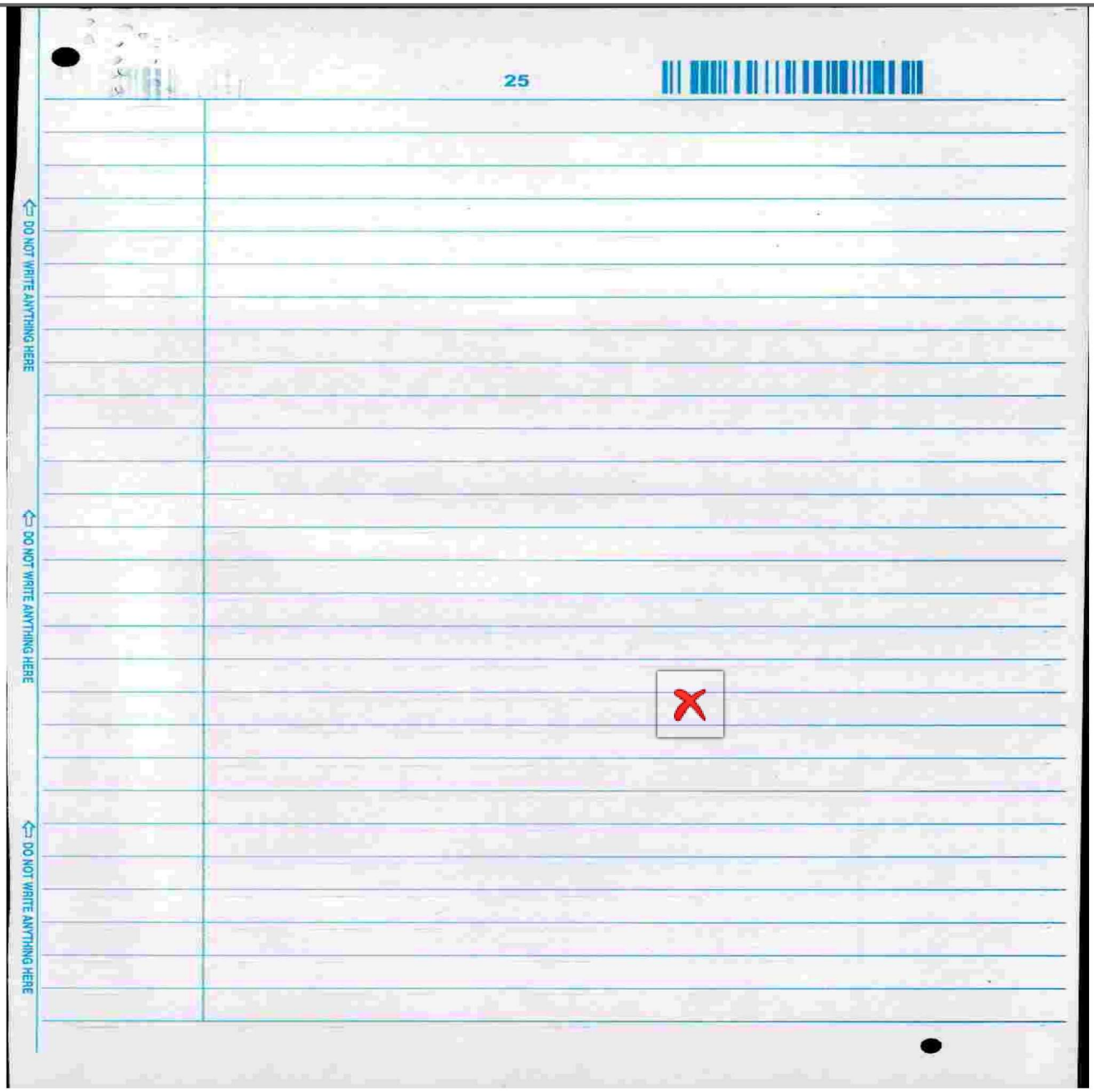
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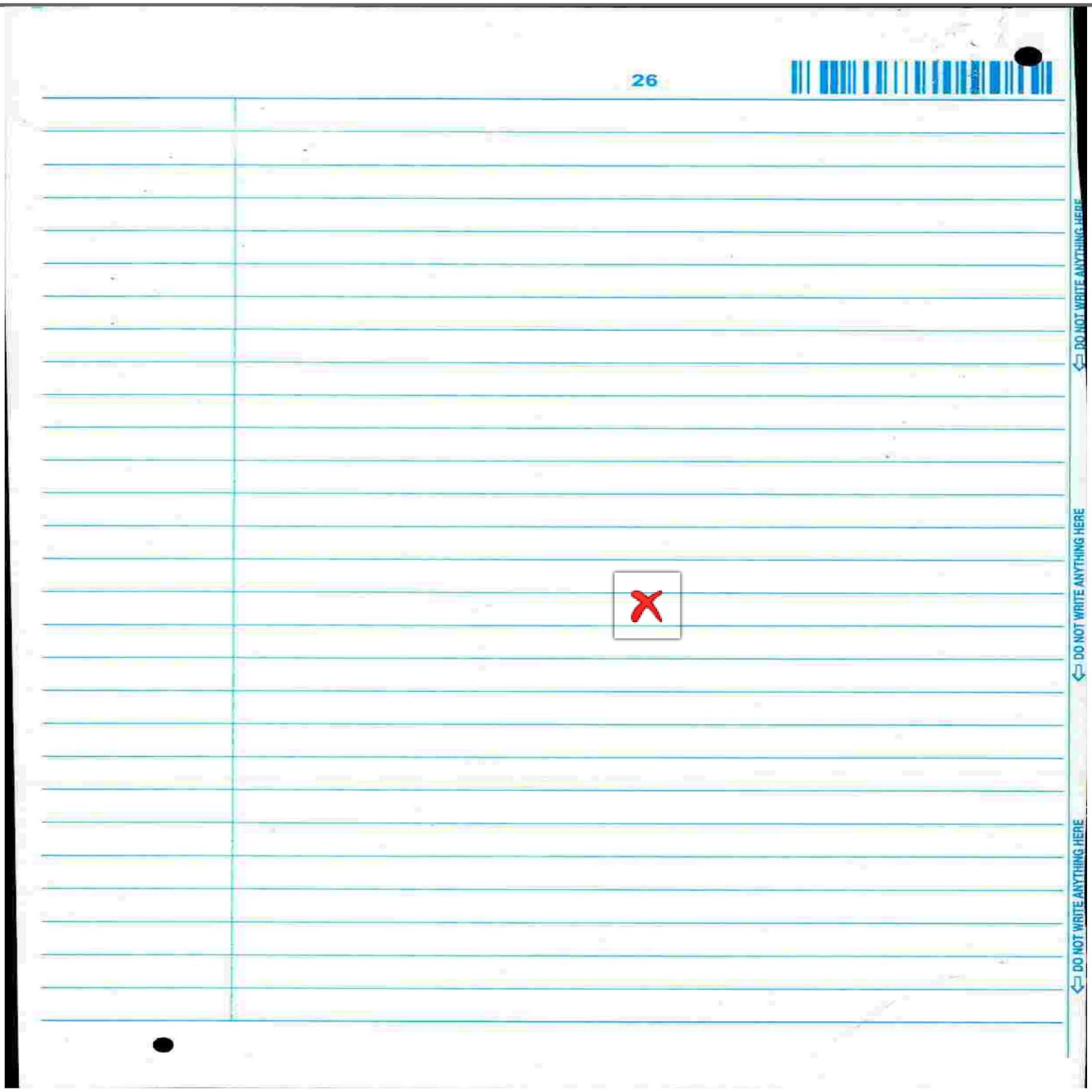
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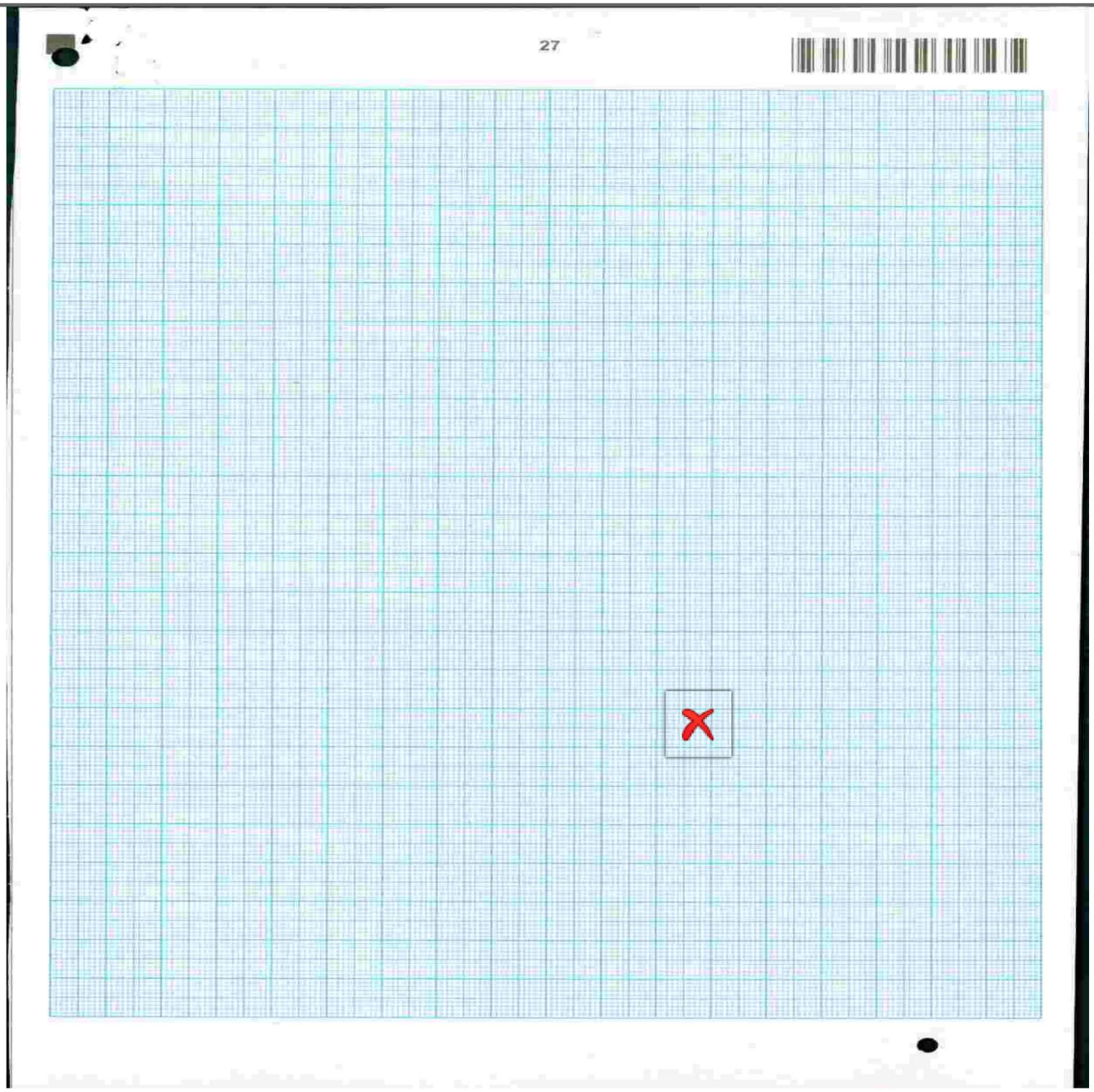
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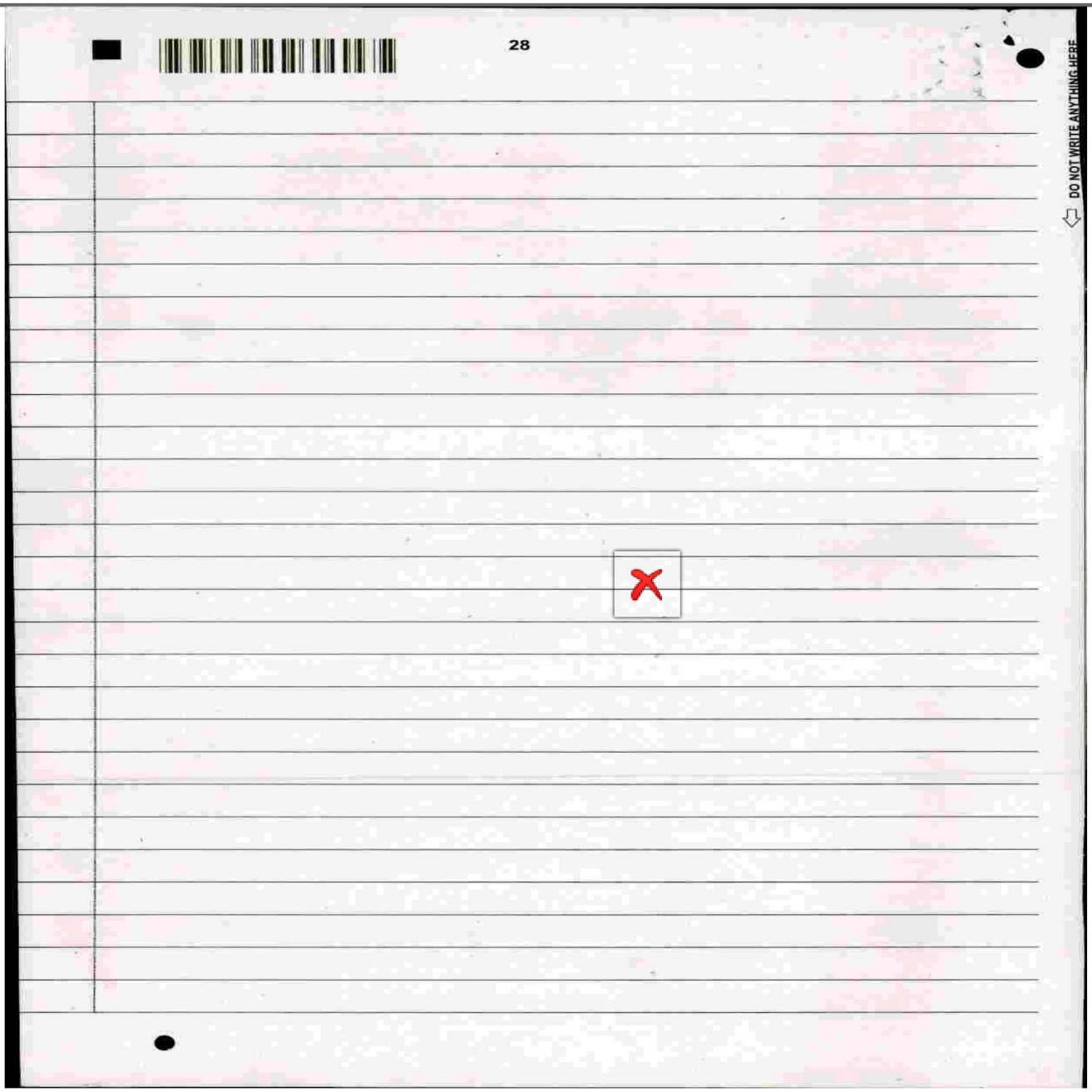
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Subject :	**02 Advanced Financial Management**	**Marks Obtained :**	**44**



The Institute of Chartered Accountants of India

Code:	**FN2AF139580**	**Total Marks:**	**70**
Subject :	**02 Advanced Financial Management**	**Marks Obtained :**	**44**



The Institute of Chartered Accountants of India

Code: FN2AF139580
Subject : 02 Advanced Financial Management

Total Marks: 70
Marks Obtained : 44

Result Overview

Awarded Marks: 44 **Max Marks:70**

NA Not Attempted O Optional M Marked

Q1_Compulsory (Score: 14/14)

Question No	Awarded Marks	Maximum Marks	Status
1	14	14	M
1a	6	6	M
1b	4	4	M
1c	4	4	M

Q2_Q6 (Score: 30/56)

Question No	Awarded Marks	Maximum Marks	Status
2	7	14	M
2a	4	6	M
2b	1	4	M
2c	2	4	M
3	0	14	O
3a	0	6	O
3b	0	4	O
3c	0	4	O
4	7	14	M

4a	6	6	M
4b	1	4	M
4c	0	4	M
5	5	14	M
5a	2	8	M
5b	3	6	M
6	11	14	M
6a	5	6	M
6b	4	4	M
6c	2	4	M